

Financial Review for the year ended 31 July 2025

HIGHLIGHTS

Performance

Total income: **£681m** (665m/+2%)
 Operating cash generation (EBITDA) **£48.1m** (£56.7m/-15%)
 Operating surplus (EBIT) **£8.2m** (£22.5m/-64%)
 Staff cost ratio: **57%** (55%)

Investment

Capital expenditure: **£43m** (£41m)
 Capital grants: **£5m** (£4m)

Liquidity and Debt

Total debt: **£210m** (£210m)
 Total cash and cash deposits: **£211m** (£200m)
 Net debt: **£1m** net cash (£10m net debt)

Financial Strength

Net current assets ratio: **1.6** (1.7)
 Net assets: **£640m** (£635m), up 1%

Comparative data for the prior year 2024/25 shown in brackets throughout this review

Scope of the Financial Statements

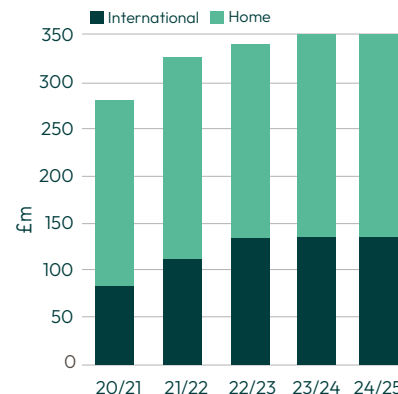
These financial statements cover the University of Exeter, its subsidiary undertakings and joint ventures. They have been prepared in accordance with UK GAAP, in compliance with the *Financial Reporting Standard 102*, issued by the UK Financial Reporting Council, as interpreted by the *Statement of Recommended Practice: Accounting for further and higher education*, issued by Universities UK. The financial statements are also compliant with the *Accounts Direction*, stipulating specific additional disclosures, issued by our regulator, the Office for Students.

Performance

We are pleased to report a year of continued financial stability with operating cash generation (EBITDA) of £48m and an increase in cash of £11m to end the year with balances of £211m. This surplus of income over expenditure, despite the challenging environment, is the result of significant hard work across the University following another challenging international recruitment round and continued economic pressures. Total income increased by 2% to £681m through growth in research grants and contracts income (+£8m, 6%), capital grants (+£3m) and donations (+£4m) bolstered by strong commercial income performance.

Tuition fee income maintained the historic high of £350m achieved in the prior year. The University saw continued strong interest from Home Undergraduate (UG Home) and Postgraduate students, but this was offset by contractions in Undergraduate and Postgraduate International. These contractions were compounded by increased levels of scholarships, resulting in international fee income seeing a 2% year on year reduction to £135m, representing 38% of teaching income and 20% of total University income.

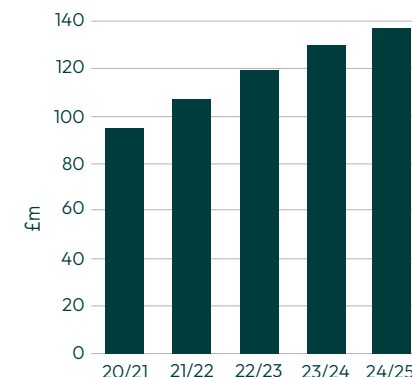
Tuition Fee Income



Building on the record value of research grants and contracts awards secured in the prior year, research income recognised in the year grew by 6% to £137m. A further year of high quality applications was rewarded with £141m of awards being secured which, building on the 8 previous years of greater than £100m in awards, provides a strong foundation for future research income.

Capital grants and donations bolstered by commercial income supported a tough trading environment and a year-on-year reduction in interest receivable as interest rates reduced. On-campus retail and catering activities were busier this year but faced challenging trading conditions, as witnessed across the catering and hospitality industry. Nevertheless, we continued to offer a wide range of options for our students and maintained our commitment to providing a quality hot meal at a very reasonable price.

Research Grants Contracts Income



Interest receivable has been a material benefit for the past few years, with over £11m generated from cash balances in 2024/25, down from £14m in the prior year. As expected, the average Bank of England base rate was lower than the prior year and is forecast to continue to decline over the coming 2 years. The University is expected to face further funding challenges. For example, the full-year cost of additional employer's national insurance contributions is forecast to be greater than the benefit of the increased UG Home fee in 2025/26. We also expect the cost of the proposed International Student Levy to be greater than the impact of the further UG Home fee inflation announced in the Post-16 education and skills white paper for the next two years at least.

Our long-term target is to deliver a sustainable, positive operating margin, defined as Earnings before Interest (payable) and Tax (EBIT) adjusted for non-recurrent exceptional items, and in 2024/25 we reported £8.2m, 1.2%. This is £14m lower than 2023/24 but slightly higher than our plans for the year, reflecting exceptional attention paid to cost

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management by our budget holders and staff. Within this, the staff cost ratio, a good indicator of efficiency and financial risk in that most of our staff costs are relatively fixed, increased by 1.2ppt to 56.4%. The increase is a result of full implementation of the UCEA agreed pay award, the continued adoption of the Living Wage Foundation living wage and the part-year effect of the national insurance increase against slowing income growth. Having recognised the need to take corrective action early in 2023/24, a staff voluntary severance scheme, The Exeter Release Scheme (TERS), was launched in April 2024 and concluded in August 2024, c180 colleagues took this opportunity with a full year impact of c£8.5m lower staff costs. With the acknowledgement of the impact of continued international student recruitment challenges, a further round of voluntary severance, TERS 2, was launched in April 2025. This scheme concluded in August 2025 with c270 colleagues taking the opportunity presented by TERS; the full year impact will be c£11.4m lower staff costs. For colleagues who signed their agreement on or before 31 July 2025, a provision for severance costs of £9.5m was made and the majority of colleagues left at the end of August 2025.

Investment

Capital expenditure in the year was £43m, a small increase on the prior year. In light of the continuing challenging student recruitment environment, all capital investments have been rigorously re-evaluated to ensure they continue to be appropriate and align completely with Strategy 2030. Tangible fixed assets are carried on our balance sheet at deemed cost, which is likely to understate their current value. Net assets, excluding pension provisions, have increased modestly by £1.3m to £643m.

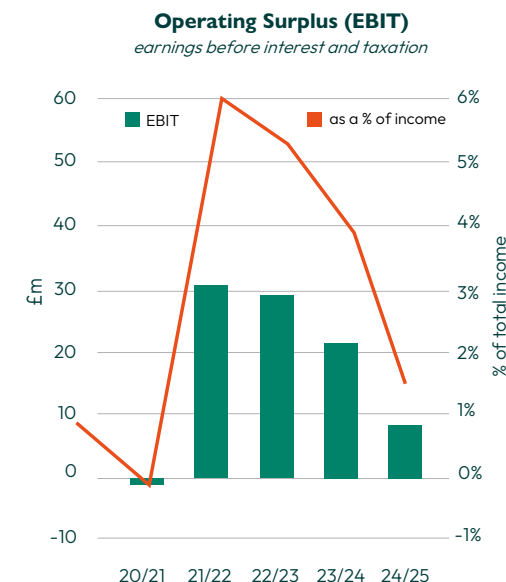
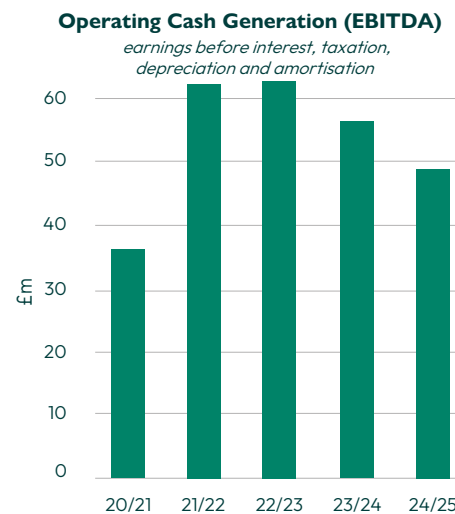
Liquidity and Debt

Cash balances stand at £211m, an increase of £11m over the year, and represent 128 liquidity days. In addition to these cash balances, the University holds a £75m revolving credit facility with HSBC through to November 2031. The facility remains undrawn. Gross long-term debt remains at £210m and we were compliant with all lending and USS pension debt monitoring covenants. The improved cash position results in a net cash position at the year-end of £1m, compared to a net debt position of £10m last year.

Pensions

Pension liabilities arise from the University of Exeter Retirement Benefit Scheme (ERBS) which started the year with a £6.6m deficit to £2.9m on an FRS102 basis. The scheme's triennial valuation as at 5 April 2024 was completed in the 2024/25 year and resulted in an improved position with the Technical Provisions deficit reducing by £15.3m to £9.9m and the funding level increasing by 6ppt to 91%. The scheme is expected to achieve a funding level of 99% by the next valuation (5 April 2027) including a reduction in deficit repayments previously scheduled. On an estimated solvency basis, under which the next valuation will be made, the deficit has reduced from £68.7m to £28.2m, a funding level of 77%, with an estimated improvement to >85% by the next valuation.

The Universities Superannuation Scheme (USS) remains in surplus with the next valuation due as at 31 March 2026 and as such, there are no further transactions, except for employer contributions for staff in the year.



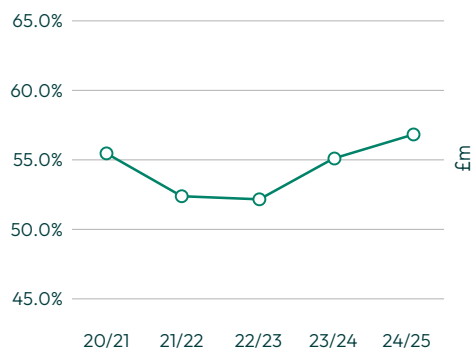
Reconciliation of EBITDA to EBIT to Deficit for the Year

	2024/25 £'000	2023/24 £'000
Operating Cash Generation (EBITDA)	48,041	56,736
less depreciation	(71,487)	(63,084)
add student rental income from service concessions	31,654	28,878
Operating Surplus (EBIT)	8,208	22,530
less interest payable on debt	(5,814)	(9,979)
less pension accounting credits/(charges)	-	177,732
less impairment	(113)	(1,600)
add/(less) FX Plus Ltd share of surplus/(deficit)	1,009	789
add capital grants received	4,890	5,767
add unrealised (loss)/gains on investments	(852)	2,455
add surplus on endowments and donations	6,821	1,552
less exceptional one-off (charges)/receipts:	(12,801)	(12,711)
Surplus/(deficit) for the year (FRS102 basis)	1,348	186,535

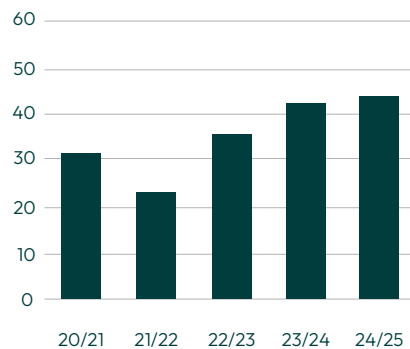
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Staff Cost Ratio

staff costs (ex pension provisions) as a % of total income



Capital Expenditure



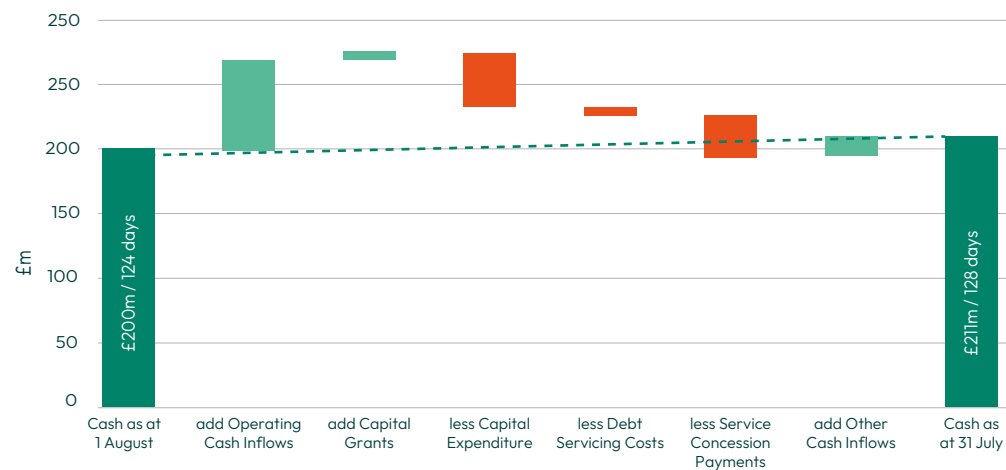
Endowments

The endowment portfolios delivered a positive return over the year (+0.8% before fees, +0.4% after fees), a long way behind the return for a comparable risk profile of the ARC charity steady growth index, however, a very strong rally in the final quarter of the year has seen the return rise to 7.4%, after fees, in the 6 months to 30 September 2025.

Over the year to 31 July 2025, markets were influenced by central bank policy and the trajectory of interest rates in response to inflation, which remained elevated but gradually moderated over the period. Market sentiment was further shaped by trade policy and geopolitical uncertainty, particularly following President Trump's second term beginning in January 2025, when he announced global tariffs in early April that far exceeded market and economic expectations. This backdrop drove heightened volatility and amplified the concentration of equity markets, with performance disproportionately driven by large US technology companies with exposure to artificial intelligence. Conflicts and government's response to increase defence spending also saw investments in aerospace and defence companies perform very strongly during this period.

Cash balances and Cash Flows 2024/25

1 August 2024 to 31 July 2025



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Future Outlook

The changing landscape of international student recruitment continues to be a cause for concern; the expected reduction in the post-study work visa to 18 months coupled with ongoing macroeconomic conditions in key international markets have led to a reduction in acceptances and registrations against both last year and plans. Student registrations are in line with recruitment forecasts and returning student numbers are ahead of plans, while student debt remains at historically low levels, both reasonable indicators of student satisfaction and engagement. Early modelling of the increase to UG Home fee rates against the expected impact of an international fee levy indicate a lag of 2 years before any net benefit of the index linked fee increase is realised.

Following another strong year of research grants and contracts awards, research is expected to drive significant levels of activity into 2025/26 and beyond. Continued investment in supporting research remains a key tenet of the University's long-term strategy, however the level of cost recovery, while in line with the peer group's 70%, the time lag between policy change and impact, and the reducing capacity for cross subsidy from international tuition fees will restrict the scope for continued growth.

Strategic investments in systems and processes aimed at improving the efficiency and effectiveness of both student facing and back-office functions, coupled with strong budget holder behaviour and trading activity support the pressure on the cost base. Continued investment in renewable energy production, building management systems, and staff and student behaviour is helping to limit the impact of utility costs. Managers within the University have a solid track record of achieving budgets and necessary mitigations to achieve our prior year results and we have every faith in their continued ability to deliver.

The recently opened Wellbeing centre and The Sarah Turvill Multi-Faith centre are proving to be excellent examples of student-centred investments making a real difference to the student experience. Wrapped around these buildings are teams focused on support for students as well as hardship funding and delivering affordable hot main meals from our catering outlets.

Long term debt is on a low fixed interest rate, and the stabilisation of the Bank of England base rate provides the opportunity for our treasury team to achieve valuable returns from our healthy cash balances.

Going Concern

The financial statements have been prepared on a going concern basis which the Council consider to be appropriate following the results reported for 2024/25, the continuing strong research performance, the level of teaching income forecast for the forthcoming year and the proven track record of effective delivery by budget holders.

Teaching income in 2025/26 is expected to be slightly ahead of 2024/25 with high conversion rates for UG Home students offsetting the year-on-year reduction in international entrants, leading indicators suggested. Research awards of £141m have exceeded £125m for the fifth successive year and the ninth successive year above £100m. These represent the order book for current and future research grant and contract income and will convert to income over the coming years.

University managers are fully engaged in the drive to develop more efficient models of teaching and recognise their role in improving the cost recovery of research and managing their budgets effectively, as evidenced by this year's achievement.

Cash balances grew year-on-year, on which low-risk interest receipts are being generated.

There will be no change to USS contribution rates in the year while the next valuation is being completed.

The University has managed two voluntary severance schemes over the past two years while maintaining good relations with staff and trade unions. The implementation of both the 2025/26 UCEA pay-award and the remuneration recommendations of the Living Wage Foundation will continue to underpin the effectiveness of staff and union relationships.

A £75m revolving credit facility provides additional liquidity, should the need arise.

The University has prepared cash flow forecasts, involving consideration of downside scenarios including but not limited to lower student entrants or a decline in research grants and contracts, for the going concern period, being 12 months from the date of approval of these financial statements. The University is confident that it will be able to meet all its obligations and commitments over the going concern period, operating within our lenders' and pensions' debt monitoring covenants. Consequently, Council is confident that the University and the Group will have sufficient funds to continue to meet their liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

Dave Stacey

Chief Financial Officer and Director of Finance,
Infrastructure and Commercial Services

Corporate Governance and Statement of Internal Control

Legal Status of the University

The University is an incorporated body with charitable status. It is an exempt charity, meaning it is exempt from registration with the Charity Commission. The Office for Students (OfS), the regulator for higher education in England, also acts as the regulator for English higher education charities. The University is a registered higher education provider and is recorded on the OfS register of providers, currently without any additional conditions. The University's and consolidated financial statements can be obtained at its registered address: Northcote House, The Queen's Drive, Exeter, EX4 4QJ.

Governance

The articles of governance for the University are contained within its Royal Charter, Statutes and Ordinances. Under the terms of the Royal Charter, the University is required to have a supreme governing body, the Council, and a senior academic body, the Senate. Management responsibility is devolved under a scheme of delegation by Council to the President and Vice-Chancellor, who is supported by the University's Executive Board (UEB), details of which are given in the section on management.

Council

Council, as the governing body, is responsible for the finance, property, investments and general business of the University, and for setting the general strategic direction of the institution. It is also responsible for seeking assurance that the University is compliant with relevant regulation and legislation. The Council is chaired by one of the Pro-Chancellors and has a full membership of at least 21 and no more than 23, a majority of whom are from outside the University (independent members). The membership includes representatives of staff and students. Council met on eight occasions during 2024/25, which included strategic away days, strategic briefing sessions, Faculty Away Days and the annual joint meeting of Senate and Council. The responsibilities of Council are more fully described below.

Senate

Senate, as the senior academic body, is given devolved responsibility by the Council, for student matters, academic quality and standards, and plays a key role in the development and approval of the University's education and research strategies. There are 72 members of the Senate, including members elected by the University's academic faculties and student representatives. There were three formal meetings of the Senate during 2024/25 and an annual joint meeting of Senate and the Council.

Although Senate meets regularly each academic year, much of its detailed work is delegated to committees, principally Education Board and Postgraduate Research Board. Further information about Council and Senate Committees can be found at: www.exeter.ac.uk/about/organisation/governance/committees

Management

The principal academic and administrative officer of the University is the President and Vice-Chancellor who has general responsibility to Council and Senate for maintaining and promoting the efficiency and good order of the University. The President and Vice-Chancellor has been nominated the accountable officer under the Terms and Conditions of Funding with the Office for Students.

As Chief Executive of the University, the President and Vice-Chancellor exercises considerable influence on the development of institutional strategy, the identification and planning of new developments and the shaping of the institutional ethos. Senior managers all contribute in various ways to this aspect of the work, but the ultimate responsibility rests with the President and Vice-Chancellor.

The University's Executive Board (UEB) is comprised of the senior management team of the University. Led by the President and Vice-Chancellor, it includes the Senior Vice-President and Provost, the Senior Vice-President and Registrar & Secretary, four Vice-Presidents and Deputy Vice-Chancellors, one Deputy Vice-Chancellor, three Pro Vice-Chancellors and Executive Deans, the Deputy Registrar and Executive Divisional Director of Human Resources, the Chief Financial Officer and Executive Divisional Director of Finance, Infrastructure and Commercial Services, the Executive Divisional Director of External Engagement and Global. The Divisional Director of Education and Academic Services is a standing attendee of UEB. Details of UEB membership is given at the front of these Financial Statements.

Corporate Governance and Statement of Internal Control

Responsibilities of Council

In alignment with the Committee of University Chair's (CUC) Code of Governance (September 2020), Council has agreed to adopt the following statement of Primary Responsibilities:

1. To set and agree the mission, strategic vision and values of the institution with the Executive.
2. To agree long-term academic and business plans and key performance indicators and ensure that these meet the interests of stakeholders, especially staff, students and alumni.
3. To ensure that processes are in place to monitor and evaluate the performance and effectiveness of the institution against the strategy, plans and approved key performance indicators, which should be, where possible and appropriate, benchmarked against other comparable institutions.
4. To delegate authority to the President and Vice-Chancellor for the academic, corporate, financial, estate and human resource management of the institution, and to establish and keep under regular review the policies, procedures and limits within such management functions as shall be undertaken by and under the authority of the President and Vice-Chancellor.
5. To ensure the establishment and monitoring of systems of control and accountability, including financial and operational controls, risk assessment, value for money arrangements and procedures for handling internal grievances and managing conflicts of interest.
6. To establish processes to monitor and evaluate the performance and effectiveness of the governing body itself.
7. To conduct its business in accordance with best practice in HE corporate governance and with the principles of public life drawn up by the Committee on Standards in Public Life.
8. To safeguard the good name and values of the institution.
9. To appoint the President and Vice-Chancellor as Chief Executive and to put in place suitable arrangements for monitoring their performance.
10. To appoint a Secretary to the governing body and to ensure that, if the person appointed has managerial responsibilities in the institution, there is an appropriate separation in the lines of accountability.
11. To be the employing authority for all staff in the institution and to be accountable for ensuring that an appropriate human resources strategy is established.
12. To be the principal financial and business authority of the institution, to ensure that proper books of account are kept, to approve the annual budget and financial statements, and to have overall accountability for the institution's assets, property and estate.
13. To be the institution's legal authority and, as such, to ensure systems are in place for meeting all the institution's legal obligations, including those arising from contracts and other legal commitments made in the institution's name. This includes accountability for health, safety and security and for equality, diversity and inclusion.
14. To receive assurance that adequate provision has been made for the general welfare of students.
15. To act as trustee for any property, legacy, endowment, bequest or gift in support of the work and welfare of the institution.
16. To ensure that the institution's constitution is always followed, and that appropriate advice is available to enable this to happen.
17. To promote a culture which supports inclusivity and diversity across the institution.
18. To maintain and protect the principles of academic freedom and freedom of speech legislation.
19. To ensure that all students and staff have opportunities to engage with the governance and management of the institution.
20. To receive and test assurances that academic governance overseen by Senate is adequate and effective.

Corporate Governance and Statement of Internal Control

Responsibilities of Council in the preparation of the Financial Statements

Council is responsible for preparing the Annual Report and the Financial Statements in accordance with the requirements of the Office for Students' Terms and conditions of funding for higher education institutions and Research England's Terms and conditions of Research England grant and applicable law and regulations.

They are required to prepare group and parent University financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland. The Terms and Conditions of Funding further require the financial statements to be prepared in accordance with the requirements of the Accounts Direction dated 25 October 2019 issued by the Office for Students ('the Accounts Direction') and the 2019 Statement of Recommended Practice – Accounting for Further and Higher Education.

Council is required to prepare financial statements which give a true and fair view of the state of affairs of the group and parent University and of their income and expenditure, gains and losses and changes in reserves for that period. In preparing each of the group and parent University Financial Statements, members of Council are required to:

- select suitable accounting policies and apply them consistently.
- make judgements and estimates that are reasonable and prudent.
- state whether applicable UK accounting standards and the 2019 Statement of Recommended Practice– Accounting for Further and Higher Education have been followed, subject to any material departures disclosed and explained in the financial statements.
- assess the group and parent University's ability to continue as a going concern, disclosing, as applicable, matters related to going concern.
- and use the going concern basis of accounting unless they either intend to liquidate the group or the parent University or to cease operations, or have no realistic alternative but to do so.

Council is responsible for keeping adequate accounting records that are sufficient to show and explain the parent University's transactions and disclose with reasonable accuracy at any time the financial position of the parent University. It is responsible for such internal control as it determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and has general responsibility for taking such steps as are reasonably open to it to safeguard the assets of the group and to prevent and detect fraud and other irregularities.

Council is also responsible for ensuring that:

- funds from whatever source administered by the Group or the University for specific purposes have been properly applied to those purposes and managed in accordance with relevant legislation;
- funds provided by the Office for Students, UK Research and Innovation (including Research England), the Education and Skills Funding Agency and the Department for Education have been applied in accordance with the relevant terms and conditions attached to them;
- ensuring that there are appropriate financial and management controls in place to safeguard public funds and funds from other sources; and
- securing the economical, efficient and effective management of the University's resources and expenditure.

Council is responsible for the maintenance and integrity of the corporate and financial information included on the University's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Council have had regard to the Charity Commission's guidance on public benefit. Key activities on how the University has delivered its charitable purposes for the public benefit are highlighted throughout the front section of the annual report.

The arrangements described above were in place during the period covered by this annual report, including up to the point of the annual report approval in December 2025.

Corporate Governance and Statement of Internal Control

Statement of Internal Control

Council has responsibility for ensuring the maintenance of a sound system of internal control that supports the achievement of the University's policies, aims and objectives, while safeguarding public and other funds and assets for which it is responsible. The system of internal control is designed to manage rather than eliminate the risk of non-achievement of policies, aims and objectives; it can therefore only provide reasonable and not absolute assurance of effectiveness.

The system of internal control is based on an ongoing process designed to identify the principal risks to the achievement of the University's policies, aims and objectives, to evaluate the nature and extent of those risks and to manage them efficiently, effectively and economically. This process has been in place for the year ended 31 July 2025 and up to the date of approval of the Financial Statements.

As the governing body, Council must assure itself of the effectiveness of the University's systems of internal control. It meets at regular intervals to consider the plans and strategic direction of the institution and receives the minutes of Audit and Risk Committee and verbal reports from the Chair of Audit and Risk Committee concerning internal control. The review of the effectiveness of the system of internal control is also informed by the work of the executive managers within the University, who have responsibility for the development, maintenance and continual review of the internal control framework.

The Audit and Risk Committee receives regular reports from internal audit, which include an independent opinion on the adequacy and effectiveness of the University's system of internal control, together with recommendations for improvement. The programme of internal audit work during the year has focused on our most significant risk areas and has been designed to evidence the achievement of value for money with regard to efficiency, economy and effectiveness. The Council has appointed Price Waterhouse Coopers LLP (PWC) to provide internal audit services to the University. The Audit and Risk Committee approves the strategic internal audit plan and receives internal audit reports from PWC at its regular meetings during the year. Where appropriate, individual audit reports are received by other committees for information. Council receives regular reports on the progress of the audit plan from the Chair of Audit and Risk Committee. The internal auditors provide an annual report, which includes their opinion on internal control, risk and the adequacy and effectiveness of our arrangements for economy, efficiency and effectiveness of reasonable assurance/moderate assurance, the second highest possible rating. The internal auditors performed 13 audits over the year, all with management responses. Of these 13 audits, 2 were advisory reviews, 7 were deemed 'low risk', 4 'medium risk' with no 'high risk'. The Audit and Risk Committee track progress on completing agreed audit actions throughout the year.

In addition to the annual assurance report received from Internal Audit, the Audit and Risk Committee and Council receive benchmarking and sector specific reports from both Internal and External Auditors to assist them in discharging their responsibility to monitor the University's performance in delivering value for money.

The University also has a Compliance Committee (which is chaired by the Senior Vice-President and Registrar & Secretary). As a UEB sub-committee, Compliance Committee is responsible on behalf of UEB for the oversight of key compliance functions. The Compliance Committee oversees a Compliance Framework which details the university compliance requirements and the committee receives assurance reports confirming that adequate compliance provisions are in place.

The University's policy towards fraud, malpractice and corruption is one of zero tolerance. The University's anti bribery and fraud policies set this out in detail, whilst the Financial Regulations set out the arrangements for reporting and responding to fraud. The anti-bribery and fraud policies are reviewed periodically and the Financial Regulations annually and are approved by the Council. The main emphasis of the fraud policy is on fraud prevention, achieved through risk assessment, process design informed by awareness of fraud risk, and by keeping staff alert to risks. There is regular reporting of fraud and irregularities at the Audit and Risk Committee.

Governors and senior managers are required to ensure that their behaviour is demonstrably selfless and open and that they champion the University's policies on bribery, in particular, conflicts of interest, hospitality, travel, and gifts. These are set out in the Financial Regulations and associated policies. The Chair of Council signs a Letter of Representation on behalf of the governing body which includes such assurances. This would include instances of bribery. These arrangements provide an ongoing process for identifying, evaluating and managing the significant risks faced by the University. The system is designed to manage, rather than eliminate, the risk of failure to achieve business objectives and can only provide a reasonable and not absolute assurance against material misstatement or loss.

The University maintains an appropriate financial regulatory framework which ensures that resources are used with due regard to propriety, regularity and value for money, in the context of the achievement of the University's strategic plan.

The University manages risk through a Corporate Risk Register which sets out key corporate level, strategic risks. In addition, Faculties and Professional Services use Operational Risk Registers, which record any localised risks which may impact on meeting objectives.

Senior Leaders in the Faculties, Professional Services and nominated Corporate risk owners are responsible for identifying, assessing, controlling and reporting on the management of risk. A risk report is compiled each term and scrutinised through a defined governance pathway. Each Committee within the Governance structure is responsible for ensuring that the correct risks have been identified, scored (using defined scoring methodology) and that appropriate steps are being taken to control or reduce the impact of the risk.

The University's Compliance Committee is responsible for undertaking the first assessment of the risk report, ensuring that both the corporate risks and any thematic operational risks are considered. The committee considers any changes to the regulatory or operating landscape and ensures that the risk register adequately reflects the current perceived risks and reports to UEB.

Corporate Governance and Statement of Internal Control

The President and Vice-Chancellor is the OfS Accountable Officer and has overall responsibility for the management of risk. She is advised and supported in this by the University Executive Board (UEB). UEB fully reviews the University's key corporate risks, both established and emerging, and directs actions and escalation to and from Faculties, Services and risk owners.

The University has also adopted an horizon scanning and foresight methodology to help identify risks at an early stage. This is being included in the UEB Risk Reports to help support UEB to continue to identify risks at an early stage and is included in respective risk reports presented to Audit and Risk Committee and Council.

Following the University management review, the termly risk report is submitted to Audit and Risk Committee. Council has ultimate responsibility for assuring the effectiveness of the University's risk management arrangements and is provided with Risk Reports on a bi-annual basis.

The Audit and Risk embedded a risk "deep dive" programme in the Academic Year 2024/25. Supplementary to the internal audit programme, the series of deep dives enables the Committee to identify specific risks for consideration and to hear directly from relevant risk owners to provide further assurance on effectiveness of risk management and controls in place.

Environmental Sustainability is formally reported on an annual basis to Council, which provides a regular mechanism to review and consider climate related risks and opportunities following ongoing consideration by the Climate and Environmental Crisis (CEC) Board. The Climate and Environmental Crisis (CEC) Board is the University's senior governance group responsible for setting policy and priorities, maintaining oversight and approving the resource and delivery programmes for the Environment and Climate Emergency response across the University. Jointly chaired by the Senior Vice-President and Provost, and Senior Vice-President and Registrar & Secretary, the CEC Board meets termly and provides a policy and decision-making forum to ensure delivery and continual improvement of activities and operations across the University. The reputational and ethical risks surrounding the University's commitment to deliver meaningful action against the climate emergency and ecological crisis have been mitigated by developing the new Climate Strategy in consultation with the University community and implementing a strong engagement and communications plan which has been reviewed and endorsed by Council.

Higher Education Code of Governance

Council has adopted the Committee of University Chairs Higher Education Code of Governance, issued in September 2020. In accordance with the Code, the Council adopted a revised and updated Statement of Primary Responsibilities in October 2023 based on the Code's model statement and is adapted to reflect the powers and responsibilities derived from University Statutes.

In accordance with the Code, Council undertook a review of its effectiveness in October 2021 and produced an action plan in response to the recommendations raised. In April 2021 an internal audit was performed on University governance.

In the Academic Year 2023/24 a Council Assurance Review was undertaken to examine the current assurance processes and identify the most effective mechanisms for providing Council with oversight, assurance and appropriate levels of scrutiny in relation to institutional strategies and policies, major strategic initiatives and management of key risks.

The next external Council effectiveness review is scheduled to be undertaken in the forthcoming Academic Year 2025/26.

The Corporate Governance Statement and Responsibilities of the Council of the University are set out on pages 55 to 57 and were approved by Council on 9 December 2025 and signed on its behalf by:

Quentin Woodley

Pro-Chancellor and Chair of Council

Professor Lisa Roberts

President and Vice-Chancellor

Report from the Chair of Audit and Risk Committee

The Committee continues to work to the Office for Students’ guidance, as set out in the Terms and Conditions of Funding and its other regulatory documents, and as elaborated in the CUC’s Handbook for Members of Audit Committees in Higher Education Institutions, the CUC Higher Education Code of Governance and CUC HE Audit Committees Code of Practice.

In accordance with its schedule of business, the Audit and Risk Committee held 4 meetings in the Academic Year 2024/25. The attendance of the membership of the Audit and Risk Committee at meetings is detailed below:

	Eligible to attend	Actually attended
Tim Weller (Chair) FCA	4	4
Alison Reed* FCA	4	4
Karime Hassan	4	4
Sarah Matthews-DeMers FCA	4	4
Senior UEB officers in attendance		
Dan Charman	4	4
Mike Shore-Nye	4	3
Dave Stacey	4	4

*Alison Reed stepped down as a member of Audit and Risk Committee on 31st July 2025 and was succeeded by Gareth Mostyn on 1st August 2025.

In 2024/25, the membership of the Audit and Risk committee comprised of four Independent members of Council. Senior UEB officers from the University have a standing invitation to attend, including: the Senior Vice-President and Registrar & Secretary; the Senior Vice-President and Provost; and the Chief Financial Officer and Executive Divisional Director of Finance, Infrastructure and Commercial Services. The internal and external auditors are also invited to each meeting of the Committee. In accordance with the CUC Audit Committee Code of Practice, other senior staff with relevant experience and expertise are invited to attend Committee meetings as standing attendees following prior consultation with the President and Vice-Chancellor and Chair of Council. An invitation is also extended to individual staff to attend as required for particular agenda items in consultation with the Chair of Audit and Risk Committee. The Director of Governance Services acts as Secretary to the Committee.

In 2024/25, the Terms of Reference for the Audit and Risk Committee were reviewed and refined to ensure alignment with the CUC HE Code of Practice for Audit Committees, the recent changes to the UK Corporate Governance Framework, and updates to the associated Finance Reporting Council guidance for Audit Committees.

The Committee oversees a programme of work enabling it to give an opinion to Council on the adequacy and effectiveness of the arrangements for internal controls such as risk management, control and governance; economy, efficiency and effectiveness (value for money); and the management and quality assurance of data submitted to HESA, Office for Students and other funding bodies. It also assesses the adequacy and effectiveness of the risk management arrangements in place across the University, including the role of the University Executive Board as the body responsible to Council for the effective management and monitoring of risk.

The Committee agreed the internal audit plan of work for 2024/25 with PwC, the University’s appointed internal auditors, and during the year reviewed a series of internal audit reports and continued to ensure a strong focus on the completion of outstanding audit recommendations. The contract for the University’s Internal Audit Service was scheduled to expire in July 2025 and a tender process was undertaken to appoint an Internal Auditor for the next 4 years in compliance with the CUC code. Following a competitive tender process in accordance with procurement framework agreements, Audit and Risk Committee endorsed a recommendation to approve the continuation of PwC as the internal audit provider. This was formally approved by Council in accordance with the University’s Statutes (Section 10 – Powers of Council, para 21).

Throughout the 2024/25 academic year, the Audit and Risk Committee held discussions on key corporate risks, with input on sector wide horizon scanning and lessons learned provided by the appointed external auditors (KPMG LLP) and the internal auditors (PwC).

The Committee embedded a risk ‘deep dive’ programme as a regular agenda item in the Academic Year 2024/25. Supplementary to the internal audit programme, the series of deep dives invites the selected risk owners to present to the Audit and Risk Committee to provide assurance on effectiveness of risk management and controls in place.

Tim Weller
Chair of Audit and Risk Committee

Report from the Chair of Governance and Nominations Committee

The Governance and Nominations Committee is responsible for making recommendations to Council in relation to the following positions:

- The nomination of the Chancellor
- The nomination of the Pro-Chancellors under Class I of Council membership
- The nomination of the Chair of Council
- Nominations for the places under Class II of Council membership
- Nominations to Council committees, ad hoc groups and joint committees with Senate
- The establishment and disbanding of Council committees
- Nominations to Trusts associated with the University

Governance and Nominations Committee is also responsible for reviewing arrangements for the training and development needs of the governing body and for succession planning. The Committee's recommendations are informed, in part, by a skills matrix, which details the relevant skills of Council's current membership and skills sought in new appointments.

The Governance and Nominations Committee actively promotes equality and diversity in all its deliberations and appointments.

The Committee met three times in the academic year 2024/25:

- 28 November 2024
- 7 February 2025
- 29 May 2025

The attendance of the membership of the Nominations Committee at meetings in 2024/25 was as follows:

	Eligible to attend	Actually attended
Quentin Woodley, Pro-Chancellor and Chair of Council (Chair)	3	3
Sally Cabrini, Pro Chancellor and Senior Independent Governor	3	3
Sir Richard Atkins, Pro-Chancellor and Deputy Chair of Council**	3	3
Salam Katbi, Independent Member of Council	3	2
Lisa Roberts, President and Vice-Chancellor	3	3
Professor Dan Charman, Senior Vice-President and Provost	3	3
In Attendance*		
Mike Shore-Nye, Senior Vice-President and Registrar & Secretary	3	3

*Bettina Rigg stepped down as a member of Governance and Nominations Committee on 1st August 2024 and there are no longer any external co-opted members on the committee.

**Sir Richard Atkins stepped down as Pro-Chancellor and Deputy Chair of Chair on 31st July 2025 and has been succeeded by Lauren Aste who joined as a member of Governance and Nominations Committee on 1st August 2025.

The Committee made the following recommendations to Council which were subsequently approved:

Council

The re-appointment of Quentin Woodley as an Independent Council Member (Class I), Pro-Chancellor and Chair of Council for a second term of office from 1 August 2025 – 31 July 2028.

The appointment of Professor Malcolm Skingle as an Independent Council Member (Class I), Pro-Chancellor and Deputy Chair of Council, for a second term of office from 1 August 2025 – 31 July 2028.

The appointment of Gareth Mostyn as an Independent Council Member (Class II) for a first term of office from 1 August 2025 – 31 July 2028.

The appointment of Lauren Aste as an Independent Council Member (Class II) for a first term of office from 1 August 2025 – 31 July 2028.

The appointment of Nigel Cain as an Independent Council Member (Class II) for a first term of office from 1 August 2025 – 31 July 2028.

Audit and Risk Committee

The appointment of Gareth Mostyn as a member of Audit and Risk Committee from 1st August 2025.

Academic Governance, Education and Student Experience Committee

The appointment of Rebecca Boomer-Clark as Chair of the Academic Governance, Education and Student Experience Committee from 1st August 2025.

The appointment of Sally Cabrini as a member of the Academic Governance, Education and Student Experience Committee from 1st August 2025.

The appointment of Karen Knapp as a member of the Academic Governance, Education and Student Experience Committee from 1st August 2025.

Council Standing Committee

The appointment of Professor Malcolm Skingle as a member of the Council Standing Committee from 1st August 2025.

Finance and Investment Committee

The appointment of Gareth Mostyn as a member of the Finance and Investment Committee and Investment and Endowment Committee (a sub-committee of Finance and Investment Committee) from 1st August 2025.

The appointment of Nigel Cain as a member of the Finance and Investment Committee from 1st August 2025.

Governance and Nominations Committee

The appointment of Lauren Aste as a member of Governance and Nominations Committee from 1st August 2025.

Governance and Nominations agreed that it will no longer nominate the Chair of the Joint Committee for Consultation and Negotiation (JCCN) and that it would no longer be chaired by an Independent Member of Council. In future the Chair will be agreed between the University and recognised trade unions in accordance with its collective agreement.

Governance and Nominations Committee also agreed that there would no longer be any Independent Council Member representation on the following Committees and groups:

- Joint Committee for Consultation and Negotiation
- Health and Safety Committee
- Accommodation Strategic Group Meetings

Trustees

Governance and Nominations Committee also made the following recommendations for appointment to the following Trustees, which were subsequently approved by Council:

Exeter Retirement Benefit Scheme (ERBS Trustee Ltd):

The appointment of Steve Balmont as the Chair and Trustee of the Exeter Retirement Benefit Scheme for an additional 1-year term of office from (1 August 2025 – 31 July 2026).

Ted Wragg Multi Academy Trust:

The appointment of Shades Chaudhary (Assistant Director, Culture and Inclusion) for a first term of office on the Ted Wragg Multi Academy Trust Board of Trustees.

St Luke's College Foundation Trustee Board:

The appointment of Dr Tom Begbie (Director of Faculty Operations, Faculty of Health and Life Sciences) as a University nominated trustee on St Luke's College Foundation Trustee Board for a five-year term-of office, from 1 June 2025 – 31 May 2030.

Quentin Woodley

Chair of Governance and Nominations Committee

Council Committees

The work of Council is supported by a number of additional committees which enable early input, review and discussion of papers prepared for Council and to ensure an informed and impactful discussion at Council. The schedule of Business of the Council Committees is development in alignment with the long-term forward plan for Council and these Committees primarily consider reports scheduled to be considered by Council.

The Secretary to Council Committees is the Director of Governance Services.

Additional attendees may be invited to attend for specific agenda items by exception at the request of UEB leads and in prior consultation and agreement with the Chair.

Academic Governance, Education and Student Experience Committee

Academic Governance, Education and Student Experience Committee provides independent oversight, scrutiny and assurance of the maintenance and continuous enhancement of academic quality and standards in relation to the University's educational provision, including student outcomes and student experience.

It monitors and receives assurance on behalf of Council regarding the University's compliance with OfS Conditions of Registration relating to Access and Participation; Quality, Reliable Standards, Positive Student Outcomes and Student Protections.

The Committee met 5 times in the academic year 2024/25:

- 15 October 2024
- 28 November 2024
- 27 March 2025
- 9 May 2025
- 1 July 2025

The attendance of the membership of the Academic Governance, Education and Student Experience Committee at meetings in 2024/25 was as follows:

	Eligible to attend	Actually attended
Richard Atkins (Chair) (Pro-Chancellor and Deputy Chair of Council)*	5	5
Professor Tim Quine (Vice-President and Deputy Vice-Chancellor, Education and Student Experience)	5	5
Rebecca Boomer-Clark (Independent Member of Council)	5	5
Nicholas Cheffings (Independent Member of Council)**	5	3
Professor Sue Prince (Senate Council Representative)***	5	3
Alex Martin (Guild President, Exeter Students' Guild)	5	5
Connie Chilcott (President Exeter, Falmouth and Exeter Students' Union)	5	3
In Attendance		
Linda Peka (Deputy Registrar and Executive Divisional Director of Education and Academic Services)****	2	1
Clare Wydell (Divisional Director of Education and Academic Services)	3	1

*Sir Richard Atkins stepped down as Pro-Chancellor and Deputy Chair of Chair on 31st July 2025 and has been succeeded as the Chair of the Academic Governance, Education and Student Experience Committee by Rebecca Boomer-Clark from 1st August 2025.

**Nicholas Cheffings (Independent Member of Council) stepped down from Council and the Academic Governance, Education and Student Experience Committee on 31st July 2025 and has been succeeded on the Academic Governance, Education and Student Experience Committee by Sally Cabrini.

***Professor Sue Prince stepped down from Council on 31st July 2025. She has been succeeded on the Academic Governance, Education and Student Experience Committee by Professor Karen Knapp.

****Linda Peka (Deputy Registrar and Executive Divisional Director of Education and Academic Services) retired from the University on 13th December 2024

Council Standing Committee

Under delegated authority prescribed in the Council Standing Orders, and at the discretion of the Chair and/or request of Council, meetings of the Council Standing Committee may be scheduled to deal with urgent issues which cannot wait until the next meeting of Council.

The membership of the Council Standing Committee includes:

- Quentin Woodley (Pro-Chancellor and Chair of Council) (Chair)
- Sir Richard Atkins (Pro-Chancellor and Deputy Chair of Council)*
- Sally Cabrini (Pro-Chancellor and Senior Independent Governor)
- Lisa Roberts (President and Vice-Chancellor)
- Standing Attendee: Mike Shore-Nye (Senior Vice-President and Registrar & Secretary)

*Sir Richard Atkins stepped down as Pro-Chancellor and Deputy Chair of Council on 31st July 2025 and has been succeeded by Professor Malcolm Skingle as the Pro-Chancellor and Deputy Chair of Council and member of Council Standing Committee from 1st August 2025.

The Chair of the Council Standing Committee may also invite one additional Independent Member of Council to attend which will be dependent on the nature of the business being considered.

Further to Council endorsement of an Outline Business Case in October 2024 and approval of the Full Business Case in February 2025 to establish a Joint Education Institute with Zhejiang University of Technology (ZJUT, China), two meetings of the Council Standing Committee were held on 2 April and 8 April 2025 with the prior agreement of Council. These meetings were held to receive assurance on the legal documentation (including Co-operation Agreement, JEI Charter, and Programme Fee Agreement) and approve this prior to final submission of the application to the Chinese Ministry of Education.

Finance and Investment Committee

In alignment with the Council Scheme of Delegation in the Delegation Framework, the Finance and Investment Committee provides independent oversight regarding major estates, infrastructure and capital projects and strategic business cases and provides assurance to Council regarding overall alignment with delivery of Strategy 2030.

The Finance and Investment Committee also provides enhanced assurance on the University’s long-term financial sustainability through reviewing institutional annual budgets, monitoring high-level delivery of financial performance and longer-term financial plans.

The attendance of the membership of the Finance and Investment Committee at meetings in 2024/25 was as follows:

	Eligible to attend	Actually attended
Quentin Woodley (Chair) (Pro-Chancellor and Chair of Council) FCA, AMAPPT	6	6
Professor Lisa Roberts (President and Vice-Chancellor)	6	6
Professor Dan Charman (Senior Vice-Provost and Provost)	6	5
Andrew Greenway* (Independent Member of Council)	6	6
Alison Reed** (Independent Member of Council) FCA	6	6
Professor Malcolm Skingle (Independent Member of Council)	6	5
Glenn Woodcock (Independent Member of Council)	6	4
In Attendance		
Mike Shore-Nye (Senior Vice-President and Registrar & Secretary)	6	6
Dave Stacey (Chief Financial Officer and Executive Divisional Director of Finance, Infrastructure and Commercial Services) FCA	6	5

*Andrew Greenway stepped down as a member of Finance and Investment Committee on 31st July 2025 and was succeeded by Nigel Cain on 1st August 2025.

**Alison Reed stepped down as a member of Finance and Investment Committee on 31st July 2025 and was succeeded by Gareth Mostyn on 1st August 2025.

Research and Innovation Committee

The Research and Innovation Committee is responsible for monitoring the University’s Research, Business Engagement and Innovation activities and seeks assurance on behalf of Council on institutional progress against key elements of Strategy 2030 related to Research and Innovation.

The attendance of the membership of the Research and Innovation Committee at meetings in 2024/25 was as follows:

	Eligible to attend	Actually attended
Professor Malcolm Skingle (Chair) (Independent Member of Council)	2	2
Karime Hassan (Independent Member of Council)	2	2
Damaris Anderson-Supple (Independent Member of Council)	2	2
In Attendance		
Professor Adrian Harris (Council Standing Attendee)	1	1
Professor Krasimira Tsaneva-Atanasova (Vice-President and Deputy Vice Chancellor, Research and Impact)	2	2
Stuart Brocklehurst (Deputy Vice-Chancellor, Business Engagement and Innovation)	2	2

Annual Report of Remuneration Committee

The Remuneration Committee is responsible for setting the remuneration of the President and Vice-Chancellor and other members of the University Executive Board.

The membership of the Committee is comprised solely of independent members of Council. The Committee is chaired by a Pro-Chancellor and the Chair of Council is also a member. The President and Vice-Chancellor is not a member of the Committee.

No member of staff is present for the discussion of their own remuneration or when the Committee makes decisions on the reward of members of the University Executive Board.

The Committee met twice in the academic year 2024/25:

- 21 October 2024
- 10 July 2025

The attendance of the membership of the Remuneration Committee at meetings 2024/25 was as follows:

	Eligible to attend	Actually attended
Sally Cabrini (Chair) (Pro-Chancellor and Senior Independent Governor)	2	2
Malcolm Skingle (Independent member of Council)	2	2
Quentin Woodley (Pro Chancellor and Chair of Council)	2	2
Damaris Anderson-Supple (Independent member of Council)	2	2

During the year, the Committee:

- Agreed its schedule of work for 2024/25.
- Reviewed and updated its Terms of Reference.
- Reviewed the external work undertaken by members of the University Executive Board, in accordance with the Committee's External Work Policy.
- Reviewed the achievement of institutional targets and personal objectives for the 2024/25 financial year. Taking account of these assessments, the Committee made decisions on the level of performance related reward which should be paid under the Executive Performance Reward Scheme to recognise the achievement of personal and institutional objectives in 2024/25. Following the Committee's review of executive reward arrangements during the 2023/24 financial year, the Executive Performance Reward Scheme has now been withdrawn.
- Implemented revised arrangements for executive reward, discussed and agreed by the Committee during the 2023/24 financial year, to ensure that the objectives set out in the Committee's terms of reference and Executive Reward Policy are fully achieved. The revised arrangements are set out in the Executive Reward Policy.
- Reviewed the information provided in the Annual Reports/Financial Statements of Russell Group Universities to meet the requirements of the Office for Students.
- Reviewed the salaries of members of the University Executive Board (UEB), taking account of updated market data, affordability, performance, equality and parity, and the Committee's Executive Reward Policy. The Committee agreed that there should be no increases to the salaries of members of the University Executive Board, over and above the 1.4% increase agreed for staff covered by the national higher education pay negotiations. Under the transitional arrangements agreed for members of the University Executive Board who previously participated in the Executive Performance Reward Scheme, the non-pensionable allowance UEB members have been receiving since August 2024 (equivalent to 12% of their 2023/24 salary) was reduced by the same amount as the increase in base salary, so there is no increase in the total remuneration of any member of UEB in 2025/26 compared to 2024/25.

Sally Cabrini

Chair of the Remuneration Committee

Fundraising Standards

In line with the Charities (Protection and Social Investment) Act 2016, the University is required to provide information about fundraising activities for the University and Exeter University Foundation (the Foundation).

The University of Exeter employs a team of professional fundraisers, as well as a number of student telephone fundraisers, to raise new funds through a variety of methods, namely: legacy fundraising, major gift fundraising from individuals, fundraising from charitable trusts, foundations, corporates and other organisations and low level fundraising requests made via telephone, email, mail, social media or crowdfunding. The University takes a long-term approach to fundraising, taking time to develop relationships with potential donors and then carefully stewarding existing donors. The University seeks to engage all alumni, whether they choose to donate or not, and is keen to maintain mutually beneficial relationships with all its stakeholders.

The University is careful to ensure that its approach to fundraising protects vulnerable people and other members of the public from unreasonable intrusion, persistent approaches or from placing undue pressure on a person to give money or other property.

- The University provides regular opportunities for all alumni and other individuals being solicited to opt out of all or some of a variety of fundraising approaches. These preferences are accurately recorded on the central database and are reflected in data selections for specific appeals.
- The University of Exeter does not actively fundraise from individuals over the age of 80 where age is known or suspected. Donors over the age of 80 are informed of the impact of their existing donations by post and phone, but are not asked to increase their donations.
- All contactable alumni, regardless of age, receive generic communications from the University, updating them about the University's activities and progress, including the impact of previous donations. These communications may include details of how to support the University.
- The University does not solicit donations from each individual more than once per year over the telephone or more than four times per year through direct mail.

All fundraising staff are trained to ensure that no undue pressure is placed on potential donors. The University takes a life-long approach to relationships with alumni and others and does not want to impede those relationships by pressuring individuals to make donations.

Activities carried out by fundraisers are monitored through standard University procedures surrounding Performance Development Reviews. All fundraising activity is recorded on a central database.

The University is registered with the Fundraising Regulator which is the independent regulator of charitable fundraising in England, Wales and Northern Ireland. More details about the Fundraising Regulator and the Code of Fundraising Practice can be found online: www.fundraisingregulator.org.uk

The University received no complaints about its fundraising activities for the year to 31 July 2025.

Independent Auditor's Report to Council of University of Exeter

Report on the audit of the financial statements

Opinion

We have audited the financial statements of University of Exeter ("the University") for the year ended 31 July 2025 which comprise the Consolidated and University Statement of Comprehensive Income, Consolidated and University Statement of Changes in Reserves, Consolidated and University Statement of Financial Position, Consolidated Statement of Cash Flows and related notes, including the Statement of Principal Accounting Policies.

In our opinion the financial statements:

- give a true and fair view of the state of the Group's and of the University's affairs as at 31 July 2025, and of the Group's and of the University's income and expenditure, gains and losses and changes in reserves, and of the Group's cash flows, for the year then ended; and
- have been properly prepared in accordance with UK accounting standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Group in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The Council has prepared the financial statements on the going concern basis as it does not intend to liquidate the Group or the University or to cease their operations, and as it has concluded that the Group and the University's financial position means that this is realistic. It has also concluded that there are no material uncertainties that could have cast significant doubt over their ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the Council's conclusions, we considered the inherent risks to the Group's business model and analysed how those risks might affect the Group and the University's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the Council's use of the going concern basis of accounting in the preparation of the financial statements is appropriate; and
- we have not identified, and concur with the Council's assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Group or the University's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Group or the University will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of management, the Audit & Risk Committee, internal audit and inspection of policy documentation as to the Group's high-level policies and procedures to prevent and detect fraud, including the internal audit function, and the Group's channel for "whistleblowing", as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board and Audit & Risk Committee minutes.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, and taking into account possible pressures to meet loan covenants and our overall knowledge of the control environment, we perform procedures to address the risk of management override of controls, in particular the risk that research income is not recognised in accordance with the relevant with grant terms and conditions and the risk that Group management may be in a position to make inappropriate accounting entries.

We did not identify any additional fraud risks.

In determining the audit procedures we took into account the results of our evaluation and testing of the operating effectiveness of some of the Groupwide fraud risk management controls.

We also performed procedures including:

- Identifying and testing journal entries based on risk criteria and comparing the identified entries to supporting documentation. These included unusual postings to cash and research revenue accounts.
- Verifying research income recognised is appropriate based on the underlying grant agreement and corresponding research expenditure.

Independent Auditor's Report to Council of University of Exeter

Identifying and responding to risks of material misstatement related to laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors and other management (as required by auditing standards) and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Group is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related higher education legislation), taxation legislation, pensions legislation and higher education financial reporting related regulation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items

Secondly, the Group is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation or the loss of the Group's license to operate. We identified health and safety, data protection laws, employment law, and compliance with regulatory requirements of the Office for Students as those most likely to have such an effect, recognising the nature of the Group's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and

legal correspondence, if any. Therefore, if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

We have reported separately on the University's use of funds in the section of our audit report dealing with other legal and regulatory requirements.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Other information

The Council is responsible for the other information, which comprises the information included in the Annual Report other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work, we have not identified material misstatements in the other information.

Council's responsibilities

As explained more fully in its statement set out on page 57, the Council is responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as it determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Group and University's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless it either intends to liquidate the Group or the University or to cease operations, or has no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

Independent Auditor's Report to Council of University of Exeter

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

We are required to report on the following matters by the Accounts Direction dated 25 October 2019 issued by the Office for Students ("the Accounts Direction").

In our opinion, in all material respects:

- funds from whatever source administered by the Group or the University for specific purposes have been properly applied to those purposes and managed in accordance with relevant legislation;
- funds provided by the Office for Students, UK Research and Innovation (including Research England), the Education and Skills Funding Agency and the Department for Education have been applied in accordance with the relevant terms and conditions; and
- the financial statements meet the requirements of the Accounts Direction.

Matters on which we are required to report by exception

We are required by the Accounts Direction to report to you where the University has an access and participation plan that has been approved by the Office for Students' director of fair access and participation and the results of our audit work indicate that the Group's and the University's expenditure on access and participation activities for the financial year disclosed in Note 32 has been materially misstated.

We are also required by the Accounts Direction to report to you where the results of our audit work indicate that the Group's and the University's grant and fee income, as disclosed in Note 32 to the financial statements has been materially misstated.

We have nothing to report in these respects.

THE PURPOSE OF OUR AUDIT WORK AND TO WHOM WE OWE OUR RESPONSIBILITIES

This report is made solely to the Council in accordance with Section 10 of the Articles of Government. Our audit work has been undertaken so that we might state to the Council those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the University and the Council for our audit work, for this report, or for the opinions we have formed.

Rees Batley
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
 66 Queen Square
 Bristol
 BS1 4BE

12 December 2025

Principal Accounting Policies

Basis of Preparation

The University and Consolidated financial statements have been prepared in accordance with United Kingdom Accounting Standards, including Financial Reporting Standard 102 (FRS102) and the Statement of Recommended Practice (SORP): Accounting for Further and Higher Education (2019 edition). They have also been prepared in accordance with Accounts Direction issued by the Office for Students (OfS), the Terms and Conditions of funding for higher education institutions issued by the Office for Students and the Terms and Conditions of Research England Grant. The Financial Statements are prepared in accordance with the historical cost convention except for the revaluation of heritage assets, investment property, endowment assets and pensions.

The University is a public benefit entity and therefore has applied the relevant public benefit entity requirements of FRS102.

Going concern

The financial statements have been prepared on a going concern basis which the Council consider to be appropriate for the following reasons:

The University has prepared cash flow forecasts, including consideration of downside scenarios, for the going concern period, being 12 months from the date of approval of these financial statements. The University is confident that it will be able to meet all its obligations and commitments over the going concern period, operating within our lenders' and pensions' debt monitoring covenants. Consequently, the Council is confident that the Group and parent University will have sufficient funds to continue to meet their liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis. See the last section of Financial Review for more details.

Basis of consolidation

The results of the University's subsidiary undertakings and undertakings in which it has a controlling interest for the financial year, have been consolidated in the Financial Statements. Details of these subsidiaries are provided in Note 15.

Jointly controlled entities are accounted for using the equity method. The University's share of income and expenditure in joint venture entities is recognised in the Statement of Comprehensive Income for the group, and its share of assets and liabilities in joint venture entities are recognised in the consolidated Statement of Financial Position. Details of these joint ventures are provided in Note 16.

The consolidated Financial Statements do not include the income and expenditure of the University of Exeter Students' Guild and the Students' Union in Penryn, as the University does not operate dominant or significant influence over their activities.

Recognition of Income

Recurrent grants and Tuition fee

Recurrent grants from funding bodies represent the funding allocations, which are attributable to the current financial year and are credited directly to the income and expenditure account.

Tuition fees represent all fees chargeable to students or their sponsors, received and receivable, which are attributable to the current accounting period net of discounts. The cost of any fees waived by the University is deducted from tuition fee income. Bursaries and scholarships are accounted for gross as expenditure and not deducted from income.

Grant funding

Grant funding including funding council grant, research grants from government sources and grants (including research grants) from non-government sources are recognised when the University is entitled to the income and performance related conditions have been met. If no performance conditions exist, income is recognised on entitlement. Income received in advance of performance related conditions being met is recognised as deferred income within creditors on the Statement of Financial Position and released to income as the conditions are met.

Capital grants are recognised within income when the University is entitled to the funds, subject to any performance related conditions being met.

Donations and endowments

There are four main types of donations and endowments identified within reserves:

1. Restricted donations – the donor has specified that the donation must be used for a particular objective.
2. Unrestricted permanent endowments – the donor has specified that the fund is to be permanently invested to generate an income stream for the general benefit of the University.
3. Restricted permanent endowments – the donor has specified that the fund is to be permanently invested to generate an income stream to be applied to a particular objective.
4. Restricted expendable endowments – the donor has specified a particular objective other than the purchase or construction of tangible fixed assets, and the University has the power to use generated income as well as the capital.

Donations and endowments with donor-imposed restrictions are recognised in income when the University is entitled to the funds. Income is retained within the restricted reserve until such time that it is utilised in line with the restrictions, at which point the income is released to general reserves through a reserve transfer. Donations without restrictions are recognised in income when the University is entitled to the funds.

Gifts in kind are included in donations using a reasonable estimate of their gross value or the amount realised.

Other income

All income from short-term deposits is credited to the income and expenditure account in the period in which it is earned.

Investment income is included in full in the income and expenditure account. Income from endowment assets held for restricted purposes imposed by the donor or funder is recognised in line with the conditions attached to the University's right to the investment income.

The University acts as an agent in the collection and payment of hardship funds and training bursaries from the funding bodies. Related receipts from the Department for Education and Teaching Regulation Agency (DETRA) and subsequent disbursement to students are excluded from the income and expenditure account. Details of transactions in the year are provided in Note 31.

Income within the University's subsidiary companies represents the fair value of consideration receivable, excluding Value Added Tax, in the ordinary course of that Company's business for goods and services provided. In respect of long-term contracts and contracts for ongoing services, income represents the value of work done in the year, including estimates of amounts not invoiced. Income in respect of long-term contracts for ongoing services is recognised by reference to the stage of completion.

Principal Accounting Policies

Accounting for retirement benefits

The two principal pension schemes for University staff are the Universities Superannuation Scheme (USS) and the University of Exeter Retirement Savings Scheme (ERSS). A third scheme, the University of Exeter Retirement Benefit Scheme (ERBS) closed to future accrual in November 2016.

The USS is a multi-employer hybrid scheme, offering a mix of defined benefits as well as defined contribution benefits. The assets of the scheme are held in a separate trustee-administered fund. Because of the mutual nature of the scheme, the assets are not attributed to individual institutions and a scheme-wide contribution rate is set. The institution is therefore exposed to actuarial risks associated with other institutions' employees and is unable to identify its share of the underlying assets and liabilities of the scheme on a consistent and reasonable basis. As required by Section 28 of FRS 102 "Employee benefits", the institution therefore accounts for the scheme as if it were a defined contribution scheme. As a result, the amount charged to the profit and loss account represents the contributions payable to the scheme and the deficit recovery contributions payable under the scheme's Recovery Plan. Where a scheme valuation determines that the scheme is in deficit on a technical provisions basis (as was the case following the 2020 valuation), the trustee of the scheme must agree a Recovery Plan that determines how each employer within the scheme will fund an overall deficit. The institution recognises a liability for the contributions payable that arise from such an agreement (to the extent that they relate to a deficit) with related expenses being recognised through the income statement. Further disclosures relating to the deficit recovery liability can be found in Note 28.

ERSS is a defined contribution scheme, which opened in December 2016. The University pays fixed contributions to the fund that are recognised within staff costs.

ERBS, a defined benefit scheme, was closed to future accrual in November 2016. The Group's net obligation in respect of defined benefit pension plans is calculated annually by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods. That future benefit is then discounted, to determine its present value, and compared to the fair value of scheme's assets valued at bid price. Movement in the scheme's net value is recognised through staff costs in income and expenditure account. Further information on pension schemes and post-retirement benefits are disclosed in Note 28.

Employment benefits

Short term employment benefits such as salaries and compensated absences are recognised as an expense in the year in which the employees render service to the University. Any unused benefits, such as holiday entitlements, are accrued and measured as the additional amount the University expects to pay as a result of the unused entitlement.

Finance leases

Leases in which the University assumes substantially all the risks and rewards of ownership of the leased asset are classified as finance leases. Leased assets acquired by way of finance lease and the corresponding lease liabilities are initially recognised at an amount equal to the lower of their fair value and the present value of the minimum lease payments at inception of the lease.

Minimum lease payments are apportioned between the finance charge and the reduction of the outstanding liability. The finance charge is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Service Concession Arrangements

Fixed assets held under service concession arrangements are recognised on the Statement of Financial Position at the present value of the minimum lease payments when the assets are brought into use, with a corresponding financial liability. Payments under the service concession arrangement are allocated between service costs, finance charges and financial liability repayments to reduce the financial liability to nil over the life of the arrangement.

Operating leases

Costs in respect of operating leases are charged on a straight-line basis over the lease term. Any lease premiums or incentives are spread over the minimum lease term.

Foreign currencies

Transactions denominated in foreign currencies are recorded at the rate of exchange ruling at the date of the transactions. Monetary assets and liabilities denominated in foreign currencies at the Statement of Financial Position date are translated into sterling at the foreign exchange rate ruling at that date. Resulting exchange differences arising on translation are recognised in the Statement of Comprehensive Income.

Taxation

The University is an exempt charity within the meaning of Part 3 of the Charities Act 2011. It is therefore a charity within the meaning of Paragraph 1 of Schedule 6 to the Finance Act 2010 and it meets the definition of a charitable company for UK corporation tax purposes. Accordingly, the University is potentially exempt from taxation in respect of income or capital gains received within categories covered by section 478-488 of the Corporation Tax Act 2010 (CTA 2010) or section 256 of the Taxation of Chargeable Gains Act 1992, to the extent that such income or gains are applied to exclusively charitable purposes.

The University receives no similar exemption in respect of Value Added Tax (VAT). Irrecoverable VAT on inputs is included in the costs of goods and services purchased. Any irrecoverable VAT allocated to fixed assets is included in their cost. The University's subsidiary companies are subject to Corporation Tax and VAT in the same way as any other commercial organisation.

Tangible and intangible assets

Non-current tangible and intangible assets are stated at cost less accumulated depreciation/ amortisation and accumulated impairment losses. Land and buildings that had been revalued to fair value on or prior to the date of transition to the SORP 2015, are measured on the basis of deemed cost, being the revalued amount at the date of that revaluation.

Where parts of a fixed asset have different useful lives, they are accounted for as separate items of fixed assets, in line with component accounting.

Capitalisation

Tangible and intangible assets are capitalised where they are capable of being used for a period that exceeds one year and satisfying the following criteria:

- Individually have a cost greater than £25,000; or
- Collectively have a cost equal to or greater than £25,000 where the assets are functionally interdependent or are purchased together and intended to be used as a group under common management control; or
- Irrespective of their individual cost, form part of the initial equipping of a new building.

Principal Accounting Policies

The University has a five-year rolling long-term maintenance plan, which forms the basis of the on-going maintenance of the estate. Expenditure on long term maintenance which does not either enhance an asset beyond its original condition or increase its expected economic life, and expenditure on all routine corrective maintenance, is charged to the income and expenditure account as incurred. Major replacement and refurbishment work is capitalised if the work creates or enhances an existing asset or improves or substantially overhauls an asset. Finance costs directly attributable to the construction of land and buildings are capitalised as part of the cost of those assets.

Intangible assets held by the University relate to software.

Heritage assets

Heritage assets are capitalised and recognised at the cost or value of the acquisition where such cost or valuation is reasonably obtainable. Where reliable estimates of cost or value are not available on a cost-benefit basis, these assets are omitted from the Financial Statements. Heritage assets are not depreciated as their long economic life and high residual value mean that any depreciation would not be material.

Heritage assets are valued at fair value by independent valuation agents every 3 years with a physical inspection occurring every 5 years.

Any costs of maintaining and displaying the collection are reported in the Statement of Comprehensive Income in the year when they are incurred.

Investment Property

Investment property is land and buildings held for rental income or capital appreciation rather than for use in delivering services. Rental property held primarily for the provision of social benefits (e.g. student residences) are accounted for as tangible fixed assets rather than Investment Property, in accordance with FRS 102.

Investment properties are measured initially at cost and subsequently at fair value with movements recognised in the Surplus or Deficit. Properties are not depreciated but are revalued or reviewed annually according to market conditions as at 31 July each year.

Investments

Non-current investments are held on the Statement of Financial Position at amortised cost less impairment. Current asset investments are included in the Statement of Financial Position at fair value. Increases/decreases in value arising on the revaluation of fixed asset investments are recognised in the Surplus or Deficit.

In the Financial Statements of the University the investments in subsidiary undertakings are included in the Statement of Financial Position at cost.

Stock

Stock is shown at the lower of cost and net realisable value and is measured using a first in first out formula. Where necessary, provision is made for obsolete, slow-moving and defective stocks. Stocks of consumables held for administration purposes and in faculties are not valued.

Depreciation / Amortisation

Depreciation is charged in the year of acquisition, and no depreciation is charged in the year of disposal, with the exception of research equipment which is depreciated monthly on a straight-line basis. All depreciation is calculated on a straight-line basis as follows:

Land	Not depreciated
Freehold buildings	Over their expected remaining useful lives, subject to a maximum of 60 years
Leasehold buildings	Over the shorter of the lease term and the expected useful lives, subject to a maximum of 60 years
Assets under construction	Not depreciated
Assets held for sale	Not depreciated
Infrastructure	Over their expected remaining useful lives, subject to a maximum of 60 years
Computer equipment and IT infrastructure	Over its expected useful life between 4 to 8 years
Intangible Assets / Software	Over its expected useful life between 3 to 5 years
Other Equipment	Over its expected useful life between 3 to 8 years

Building works that are greater than £150,000 are analysed into the following components:

Component	Life
Building shell	40-60 years
Mechanical and engineering services	10-30 years
Fit out	20-25 years

Cash and cash equivalents

Cash includes cash in hand, deposits repayable on demand and overdrafts. Deposits are repayable on demand if they are in practice available within 24 hours without penalty.

Cash equivalents are short term, highly liquid investments that are readily convertible to known amounts of cash with insignificant risk of change in value.

The current investment assets held by the University are deposits with banks and building societies with maturity between three and twelve months at the date of acquisition. These are held at cost.

The Statement of Cash Flows included in the financial statements is for the group. We have taken advantage of an exemption not to show the Statement of Cash flows for the University, permitted under the SORP Section 3.3.

Principal Accounting Policies

Financial Instruments

A financial instrument is a contract that gives rise to a financial asset in one entity and a financial liability or equity instrument in another. Financial assets and financial liabilities are recognised when the University becomes a party to the contractual provisions of the instrument.

The provisions of both section 11 and 12 of FRS102 are applied in full. Basic financial instruments are held at amortised cost using the effective interest method or cost and are subject to an annual impairment review.

Complex financial instruments are held at fair value, with changes in the fair value taken directly to the Statement of Comprehensive Income, except where hedge accounting is applied.

Provisions, contingent liabilities and contingent assets

Provisions are recognised in the Financial Statements when:

- a) the University has a present obligation (legal or constructive) as a result of a past event;
- b) it is probable that a transfer of economic benefits will be required to settle the obligation; and
- c) reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

A contingent liability arises from a past event that gives the University a possible obligation whose existence will only be confirmed by the occurrence or otherwise of uncertain future events not wholly within the control of the University. Contingent liabilities also arise in circumstances where a provision would otherwise be made but either it is not probable that an outflow of resources will be required, or the amount of the obligation cannot be measured reliably.

A contingent asset arises where an event has taken place that gives the University a possible asset whose existence will only be confirmed by the occurrence or otherwise of uncertain future events not wholly within the control of the University.

Contingent assets and liabilities are not recognised in the Statement of Financial Position but are disclosed in the notes when required.

Reserves

Reserves are classified as restricted or unrestricted. Restricted endowment reserves include balances which, through endowment to the University, are held as a permanently restricted fund which the University must hold in perpetuity.

Other restricted reserves include balances where the donor has designated a specific purpose and therefore the University is restricted in the use of these funds.

Key Estimates and Judgements

Key sources of estimation uncertainty

The preparation of the University's Financial Statements required management to make judgement, estimates and assumptions that affects the application of accounting policies and reported amounts of assets and liabilities, income and expenses. These judgements, estimates and associated assumptions are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

Provisions for liabilities and Contingent Liabilities

The Group recognises provisions where a present legal or constructive obligation exists due to a past event, settlement is probable, and a reliable estimate can be made (see Note 29).

Contingent Liabilities: The University has financial guarantees and commitments with third parties. As the likelihood of the trigger event is remote, these liabilities have not been quantified, and management believes that no provision is required. Further information is provided in note 27.

Pension and Post-Employment Benefit Obligations

The Group operates both defined contribution and defined benefit pension schemes. The Universities Superannuation Scheme (USS) and the University of Exeter Retirement Benefits Scheme (ERBS) are defined benefit plans, with assets held in separate trustee-administered funds.

ERBS

The scheme is closed to new and existing members from 30 November 2016. Obligations are valued annually by independent actuaries using the projected unit method.

Description	2025 £'000	2024 £'000
Present value of obligation	90,565	102,392
Fair value of plan assets	(87,703)	(95,745)
Net defined benefit liability	2,862	6,647

Key actuarial assumptions are detailed in Note 28(iii). A 0.5% increase in the discount rate would reduce the obligation by approximately 7%. Contributions of £4,135k (2024: £3,460k) were made during the year. Deficit recovery payments are charged to the income statement, with liabilities recognised accordingly (see Note 28).

Significant Judgements in Applying Accounting Policies

Classification of Leases

Judgement is applied to determine whether a contract contains a lease and whether it conveys control over the asset. This includes assessing:

- The right to direct the asset's use
- Access to substantially all economic benefits

Relevant lease agreements are disclosed in Notes 12 and 14.

Revenue Recognition – Principal vs Agent

To determine whether the Group acts as principal or agent, management considered:

- Controls over goods or services prior to transferred to customer
- Nature of performance obligations

The Group acts as an agent in arrangements with the Department for Education and Teaching Regulation Agency (DETRA), and related grants are excluded from the Income and Expenditure account.

Related Party Relationships

Judgement is exercised in identifying related parties under FRS 102 Section 33. This includes evaluating common control, significant influence by key management personnel, and close family relationships.

Consolidated and University Statement of Comprehensive Income

Year ended 31 July 2025

		GROUP		UNIVERSITY	
	Notes	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
INCOME					
Tuition fees and education contracts	1	350,525	350,571	350,525	350,571
Funding body grants	2	70,605	72,811	70,605	72,811
Research grants and contracts	3	136,855	129,155	136,855	129,155
Other income	4	102,065	93,818	102,065	93,819
Investment income	5	11,444	13,485	11,449	13,485
Endowments and donations	6	9,376	5,188	9,208	6,781
Total income		680,870	665,028	680,707	666,622
EXPENDITURE					
Staff costs	7	396,560	373,992	396,560	373,992
Staff costs – movement on USS pension provision	7	-	(177,732)	-	(177,732)
Operating expenses	8	201,807	206,759	201,779	206,736
Depreciation and amortisation	9	74,636	65,955	74,636	65,955
Impairment charge	9	113	1,600	113	1,600
Interest and other finance costs	10	5,814	9,979	5,814	9,979
Total expenditure		678,930	480,553	678,902	480,530
Surplus before other gains/(losses) and share of operating surplus in joint ventures		1,940	184,475	1,805	186,092
(Loss)/gain on investments	15	(852)	3	(852)	3
Share of operating surplus in joint venture	16	260	2,057	-	-
Surplus for the year		1,348	186,535	953	186,095
Revaluation gain on heritage assets	13	3,193	-	3,193	-
Actuarial gain/(loss) in respect of pension schemes	28	541	(1,957)	541	(1,957)
Total comprehensive income		5,082	184,578	4,687	184,138
Represented by:					
Endowment comprehensive loss for the year	23	2,523	2,987	2,247	2,991
Restricted comprehensive (expenditure)/income for the year		(27)	14	(28)	14
Unrestricted comprehensive (expenditure)/income for the year	24	(365)	181,576	(742)	181,132
Revaluation reserve comprehensive gain for the year	25	2,951	1	3,210	1
		5,082	184,578	4,687	184,138

All items of income and expenditure relate to continuing activities. The accompanying notes form part of these financial statements.

Consolidated and University Statement of Changes in Reserves

Year ended 31 July 2025

GROUP	Endowment Reserve £'000	Restricted Income and Expenditure £'000	Unrestricted Income and Expenditure £'000	Revaluation Reserve £'000	Total £'000
Balance at 1 August 2023	48,677	107	379,397	21,888	450,069
Surplus from the Statement of Comprehensive Income	2,987	14	183,533	1	186,535
Other comprehensive loss	-	-	(1,957)	-	(1,957)
Transfer between reserves	-	-	260	(260)	-
Total comprehensive income / (loss)	2,987	14	181,836	(259)	184,578
Balance at 1 August 2024	51,664	121	561,233	21,629	634,647
Surplus/(deficit) from the Statement of Comprehensive Income	2,247	3,518	(4,434)	17	1,348
Other comprehensive income	-	-	541	3,193	3,734
Transfer between reserves	276	(3,545)	3,528	(259)	-
Total comprehensive income / (loss)	2,523	(27)	(365)	2,951	5,082
Balance at 31 July 2025	54,187	94	560,868	24,580	639,729

UNIVERSITY	Endowment Reserve £'000	Restricted Income and Expenditure £'000	Unrestricted Income and Expenditure £'000	Revaluation Reserve £'000	Total £'000
Balance at 1 August 2023	48,594	107	374,515	9,213	432,429
Surplus from Statement of Comprehensive Income	2,992	14	183,089	1	186,096
Other comprehensive loss	-	-	(1,957)	-	(1,957)
Total comprehensive income	2,991	14	181,132	1	184,138
Balance at 1 August 2024	51,586	121	555,647	9,214	616,568
Surplus/(deficit) from the Statement of Comprehensive Income	2,246	3,518	(4,828)	17	953
Other comprehensive income	-	-	541	3,193	3,734
Transfers between reserves	-	(3,545)	3,545	-	-
Total comprehensive income/(loss)	2,246	(27)	(742)	3,210	4,687
Balance at 31 July 2025	53,832	94	554,905	12,424	621,255

The accompanying notes form part of these financial statements.

Consolidated and University Statement of Financial Position

Year ended 31 July 2025

	Notes	GROUP		UNIVERSITY	
		Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Non-current assets					
Intangible assets	11	8,116	7,093	8,116	7,093
Tangible fixed assets	12	716,817	716,566	716,817	716,566
Heritage assets	13	12,471	9,287	12,471	9,287
Investments	15	51,801	51,984	51,951	52,134
Investment in joint venture	16	19,355	18,121	-	-
		808,560	803,051	789,355	785,080
Current assets					
Stock		944	899	944	899
Receivables	17	100,907	97,507	102,116	97,577
Investments	18	5,686	46,658	5,686	46,658
Cash and cash equivalents		205,052	153,794	204,561	153,600
		312,589	298,858	313,307	298,734
Less: Creditors: amounts falling due within one year	19	(197,703)	(178,909)	(197,690)	(178,893)
Net current assets		114,886	119,949	115,617	119,841
Total assets less current liabilities		923,446	923,000	904,972	904,921
Creditors: amounts falling due after more than one year	20	(279,646)	(280,497)	(279,646)	(280,497)
Provisions					
Pension provisions	28	(2,862)	(6,647)	(2,862)	(6,647)
Other provisions	29	(1,209)	(1,209)	(1,209)	(1,209)
Total net assets		639,729	634,647	621,255	616,568
Restricted Reserves					
Endowment reserve	23	54,187	51,664	53,832	51,586
Income and expenditure reserve		94	121	94	121
Unrestricted Reserves					
Income and expenditure reserve	24	560,868	561,233	554,905	555,647
Revaluation reserve	25	24,580	21,629	12,424	9,214
Total Reserves		639,729	634,647	621,255	616,568

The accompanying notes form part of these financial statements. The Financial Statements on pages 48 to 112 were approved by Council on 9 December 2025 and were signed on its behalf by:

Professor Lisa Roberts
President and Vice-Chancellor

Quentin Woodley
Pro-Chancellor and Chair of Council

Dave Stacey
Chief Financial Officer and Director of Finance, Infrastructure and Commercial Services

Consolidated Statement of Cash Flows

Year ended 31 July 2025

	Notes	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Cash flow from operating activities			
Surplus for the year		1,348	186,535
Adjustment for non-cash items			
Depreciation and impairment	12	72,188	65,050
Amortisation of intangibles	11	2,561	2,401
Loss/(gain) on investments	15	852	(3)
Increase in stock		(46)	(38)
Increase in debtors		(4,124)	(922)
Increase in creditors		17,088	19,961
Decrease in provisions	29	(3,244)	(181,763)
Share of operating surplus in joint ventures		(260)	(2,057)
Adjustment for investing and financing activities			
Investment income	5	(11,444)	(13,485)
Loan interest and other finance costs	10	5,814	9,979
New endowments	6	(5,553)	(4,130)
Loss on the disposal of fixed assets	11,12	30	221
Capital grant receipts	2	(8,640)	(6,285)
Net cash inflow from operating activities		66,570	75,464
Cash flow from investing activities			
Proceeds on disposal of non-current asset investments		173	169
Investment income received		11,052	13,101
Capital grants received	2	8,640	6,285
Recall of/(payment into) short-term investments	18	40,972	(11,103)
Disposal/(acquisition) of non-current asset investments		134	(4,083)
Payments made to acquire fixed assets	12,13	(9,989)	(8,409)
Payments made to acquire intangible assets	11	(3,584)	(3,938)
Payment made to acquire assets under construction	12	(29,562)	(28,817)
Loans made to other parties	17	(1,100)	-
Net cash inflow/(outflow) from investing activities		16,736	(36,795)
Cash flow from financing activities			
Loan interest and other finance costs	10	(5,814)	(9,979)
New endowments	23	5,553	4,130
Capital element of finance lease		(31,787)	(29,011)
Net cash outflow from financing activities		(32,048)	(34,860)
Increase in cash and cash equivalents		51,258	3,809
Cash and cash equivalents at beginning of the year		153,794	149,984
Cash and cash equivalents at end of the year		205,052	153,794

The accompanying notes form part of these financial statements.

Notes to the Financial Statements

NOTE 1 TUITION FEES AND EDUCATION CONTRACTS

	GROUP		UNIVERSITY	
	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Home and EU students*	204,538	200,201	204,538	200,201
International students	134,895	137,586	134,895	137,586
Research Training Support Grant	4,243	6,380	4,243	6,379
Non-credit bearing course fees and other tuition fees	6,849	6,404	6,849	6,404
	350,525	350,571	350,525	350,570

* From 2021/22 new students admitted from the EU are classed as international students, whereas EU students who were admitted in prior years but continued their studies during 2024/25 remain classified as 'home and EU' students, as these students qualify for UK home fee status.

NOTE 2 FUNDING BODY GRANTS

	GROUP		UNIVERSITY	
	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Recurrent Grant				
Office for Students – Teaching grant	20,199	20,836	20,199	20,836
UKRI – Research grant	37,123	36,519	37,123	36,519
Specific Grants				
Office for Students – Capital grants	-	50	-	50
UKRI – Capital grants	4,890	4,418	4,890	4,418
Other Capital grants	-	1,300	-	1,300
Higher Education Innovation Fund	6,003	6,725	6,003	6,725
Other grants	2,390	2,963	2,390	2,963
	70,605	72,811	70,605	72,811

The Office for Students (OfS) is the independent regulator of higher education in England. One of its functions is to distribute funding in respect of teaching activities. UK Research and Innovation (UKRI) oversees higher education research and knowledge exchange and provides grant funding in support of these areas.

Notes to the Financial Statements

NOTE 3 RESEARCH GRANTS AND CONTRACTS

	GROUP		UNIVERSITY	
	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Research Councils	61,250	54,788	61,250	54,788
UK Research Charities	14,301	15,003	14,301	15,003
UK Central Government, local authorities and health authorities	34,849	28,321	34,849	28,321
UK Industry and commerce	9,711	9,045	9,711	9,045
European Union government	5,929	10,047	5,929	10,047
European Union industry / other bodies	2,024	2,035	2,024	2,035
Other	8,791	9,916	8,791	9,916
Total Research Income	136,855	129,155	136,855	129,155

NOTE 4 OTHER INCOME

	GROUP		UNIVERSITY	
	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Residences, catering and conferences	60,852	57,387	60,852	57,387
Other revenue grants	6,966	6,158	6,966	6,158
Other services rendered	2,342	1,768	2,342	1,768
Income from health authorities and trusts	9,107	7,564	9,107	7,564
Sports and swimming pool income	2,520	2,306	2,520	2,306
Summer schools, fair & degree day income	8	131	8	131
ERASMUS income	27	30	27	30
Rental income & room hire	1,023	1,053	1,023	1,053
Externally charged staff time	1,786	1,808	1,786	1,808
Supplies and services to external customers	8,856	10,329	8,856	10,329
Other income	8,578	5,284	8,578	5,285
	102,065	93,818	102,065	93,819

Included within residences, catering, and conferences £31.6m (2024: £28.9m) related to rental income from student residences that are operated under a service concession arrangement, which is further explained in Note 14.

Notes to the Financial Statements

NOTE 5 INVESTMENT INCOME

	Notes	GROUP		UNIVERSITY	
		Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Investment income on expendable endowments	23	739	619	739	619
Investment income on permanent endowments	23	740	685	740	685
Other investment income		9,917	12,126	9,917	12,126
Other interest receivable		48	55	53	55
		11,444	13,485	11,449	13,485

NOTE 6 ENDOWMENTS AND DONATIONS

	Notes	GROUP		UNIVERSITY	
		Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
New expendable endowments	23	5,533	4,041	5,533	4,041
New permanent endowments	23	20	89	20	89
Restricted donations		3,518	1,020	3,518	1,020
Unrestricted donations		305	37	137	1,631
		9,376	5,187	9,208	6,781

NOTE 7 STAFF COSTS

Average staff numbers (including senior post holders) employed by the University during the year and expressed as full-time equivalents are presented in the table below:

	Year Ended 31 July 2025 Number	Year Ended 31 July 2024 Number
Academic	2,093	2,091
Research	949	917
Professional Services	3,317	3,339
	6,359	6,347

Staff cost

Group	Notes	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Salaries		311,422	296,235
Employer Taxes		35,739	30,994
Pension contributions	28	39,361	37,961
Direct staff costs		386,522	365,190
Redundancy and severance payments		10,038	8,802
Movement on USS pension provision		-	(177,732)
		396,560	196,260

Notes to the Financial Statements

NOTE 7 STAFF COSTS (continued)

President and Vice-Chancellor’s Salary

University Context and institutional Performance 2024/25

The reward of the President and Vice-Chancellor reflects the level of responsibility and skills required to lead a complex institution, with income of £680m, 30,000 students and over 7,000 staff and a wide network of stakeholders and partners nationally and globally in a challenging and globally competitive environment. The President and Vice-Chancellor leads the development and delivery of the institution’s Strategy 2030 to ensure the continued growth and success of the University. Information on the University’s achievements is set out in details in the section “Highlights of the year” at the beginning of this report.

Decisions on the reward of the President and Vice-Chancellor are made by the University’s Remuneration Committee (which is composed solely of independent members of the University’s Governing Body) taking account of a number of factors including:

- the breadth and level of leadership responsibility and accountability.
- market data for the remuneration of Vice-Chancellors at competitor institutions.
- the University’s Executive Reward Policy.
- the achievement of strategic goals.
- the institution’s national and international rankings
- performance against strategic performance metrics.

In 2024/25 the University achieved important progress across a wide range of activity, and highlights of the University’s achievements in 2024/25 are detailed in the “How we performed” section of the Annual Report.

Remuneration Decisions

Taking account of the University’s Executive Reward Policy, the Remuneration Committee agreed to increase Professor Roberts’ salary by 1.2% (compared to the national increase of 2.5% for higher education in 2024/25) to £308,000 from 1 August 2024 to appropriately align her remuneration to relevant comparators in the Russell Group and to recognise her continued strong leadership and achievements through a period of significant challenge.

Separately, following a review of the reward arrangements for all members of the University Executive Board (UEB) in 2024, the Remuneration Committee also agreed changes to the Executive Reward Policy from the beginning of the 2024/25 University year. Previously, part of the remuneration of members of UEB (the Executive Performance Reward Scheme) had been “pay at risk”, with a payment of up to 20% of the guaranteed

element of salary only being made if stretching annual performance targets have been met. The Executive Performance Reward Scheme was withdrawn and transitional arrangements agreed for members of UEB who previously participated in the Executive Performance Reward Scheme, including the President and Vice-Chancellor. Under these transitional arrangements, members of UEB receive a non-pensionable allowance equivalent to 12% of their 2023/24 salary. This allowance will be reduced by the same amount as any increases to base salary for national (JNCHES) increases or to ensure that their salary is appropriately aligned to the appropriate market rate. As a consequence, members of UEB will not receive an increase in their total remuneration for the foreseeable future. This is a reduction to the previous reward arrangements and delivers significant recurrent savings to the University, reducing the potential cost of UEB pay by 6.26% in 2024/25.

The remuneration received by Professor Roberts in the year ended 31 July 2025 was:

- a base salary of £308,000 per annum.
- a non-pensionable allowance of £36,540.
- The University paid pension contributions to the Universities Superannuation Scheme (USS) at the same level paid for other members of USS.

Recognising the importance of the President and Vice-Chancellor to the achievement of the University’s strategic aims, the University also meets the cost of private health insurance and other limited accommodation and related taxable expenses.

Pay Ratios

The Office for Students’ methodology for calculating pay ratios includes anyone paid during the financial year, including workers engaged on an occasional basis and both leavers and their replacements,

	2024/25	2023/24	2022-23
	Total (£000)	Total (£000)	Total (£000)
Remuneration of the President and Vice-Chancellor			
Salary	308	305	290
Non-pensionable allowance	37	-	-
Performance related remuneration	-	37	51
Total pay offered	345	342	341
Employer pension contributions	45	53	63
Other taxable benefits (health insurance, accommodation and related expenses)	2	3	1
Other non-taxable benefits	-	-	-
Total Remuneration	392	398	405
Performance related remuneration (waived)	-	37	-
Total	392	361	405

See Remuneration Decisions below for more information about the non-pensionable allowance of £36,540.

Professor Roberts declined to accept the performance related payment of £37,454 to which she was entitled under the Executive Performance Reward Scheme in respect of the 2023/24 financial year. In view of this, and to provide a more complete year-on-year comparison of the President and Vice-Chancellor’s total remuneration, the figures for 2022/23 have been provided alongside the figures for 2023/24 and 2024/25.

Notes to the Financial Statements

irrespective of how long they worked during the year. Total pay includes employer pension contributions/ allowance in lieu of employer pension contributions and taxable benefits. Pay for part-time and hourly paid workers have been pro-rated up to the full-time equivalent. Unlike some other higher education institutions, the University of Exeter has not contracted out services on a significant scale.

Based on the OfS methodology:

- The ratio between the Vice-Chancellor's basic salary in 2024/25 and the median basic salary of all other persons employed by the University in the 2024/25 financial year, including leavers and workers engaged on an occasional basis, is 8.8 (2023/24: 9.0).
- The ratio between the Vice-Chancellor's total reward in 2024/25 and the median total reward of all other persons employed by the University in the 2024/25 financial year, including leavers and workers engaged on an occasional basis, is 9.7 (2023/24: 10.4).

The figures excluding leavers and workers engaged on an occasional basis are:

- The ratio between the Vice-Chancellor's basic salary and the median basic salary of all other persons employed by the University in the 2024/25 financial year is 7.2 (2023/24: 7.3).
- The ratio between the Vice-Chancellor's total reward in 2024/25 and the median total reward of all other persons employed by the University in the 2024/25 financial year is 8.0 (2023/24: 8.4).

Note that the median pay ratios are calculated using the pension rates applicable as at 31 July.

Compensation for loss of office

The total amount of any compensation for loss of office paid by the University for the year ended 31 July 2025 was £10,038k and relates to 427 posts (£8,802k for 268 posts to 31 July 2024). These figures include statutory redundancy and voluntary severance payments.

Key management personnel

Remuneration of key management personnel was £3,848k including employer's pension contribution for 16 posts for the year ended 31 July 2025. (Excluding employer's pension contributions £3,457k). (£3,502k including and £3,045k excluding employer's pension contribution for 16 posts to 31 July 2024).

Higher paid staff

Remuneration of higher paid staff, excluding employer's pension contributions (except where this is part of a salary sacrifice scheme) and partner institutions in respect of its contractual obligations to University staff under separate NHS contracts of employment and which are excluded in the University's Statement of Comprehensive Income is reported in the following table.

In line with the Office for Students Accounts Direction, the 2024/25 and 2023/24 figures do not include staff who joined or left part-way through the year but who would have received salary in these bands in a full year.

This table excludes the President and Vice-Chancellor's remuneration, which is detailed on page 82.

Council Members

The University Council members are the charitable trustees. Due to the nature of the University's operations and the composition of the University Council (with members being drawn from local, public and private sector organisations) it is inevitable that transactions will take place with organisations in which a member of Council may have an interest. All transactions involving organisations in which a member of the Council may have an interest are conducted at arm's length and in accordance with the University's procurement procedures and financial regulations. Details of the organisations in which members of Council have an interest are published online at www.exeter.ac.uk/about/organisation/council/whoweare

Independent members do not receive payment, apart from reimbursement of expenses for fulfilling their role as members of the governing body. Reimbursement of expenses amounted to £4,690.54 for 10 trustees (2024: £6,328 for 6 trustees). An additional £12,437.23 was paid directly

by the University for travel, accommodation and subsistence for Council members (2024: £10,007).

Further information on related party transactions is included in Note 30.

	Year Ended 31 July 2025 Headcount	Year Ended 31 July 2025 FTE	Year Ended 31 July 2024 Headcount	Year ended 31 July 2024 FTE
£100,000 - £104,999	60	36.0	73	67.8
£105,000 - £109,999	161	75.7	23	20.2
£110,000 - £114,999	19	14.7	26	21.6
£115,000 - £119,999	10	8.0	20	16.2
£120,000 - £124,999	30	25.5	30	25.0
£125,000 - £129,999	25	19.0	17	13.1
£130,000 - £134,999	25	18.3	27	18.8
£135,000 - £139,999	11	8.1	20	13.5
£140,000 - £144,999	17	11.2	8	8.0
£145,000 - £149,999	19	14.4	6	5.5
£150,000 - £154,999	6	5.5	5	4.2
£155,000 - £159,999	2	1.2	2	1.0
£160,000 - £164,999	3	2.0	2	1.2
£165,000 - £169,999	2	2.0	2	2.0
£170,000 - £174,999	0	0	3	2.8
£175,000 - £179,999	4	3.8	1	1.0
£180,000 - £184,999	1	1.0	2	2.0
£185,000 - £189,999	2	2.0	0	0
£190,000 - £194,999	1	1.0	2	2.0
£195,000 - £199,999	1	1.0	0	0
£200,000 - £204,999	0	0	1	1.0
£205,000 - £209,999	1	1.0	1	1.0
£210,000 - £214,999	1	1.0	0	0
£215,000 - £219,999	0	0	2	1.2
£220,000 - £224,999	1	0.2	0	0
£225,000 - £229,999	0	0	0	0
£230,000 - £234,999	0	0	0	0
£235,000 - £239,999	1	1.0	0	0
£240,000 - £244,999	0	0	0	0
£245,000 - £249,999	0	0	0	0
£250,000 - £254,999	1	1.0	0	0
TOTALS	404	254.6	273	229.1

Notes to the Financial Statements

NOTE 8 OTHER OPERATING EXPENSES

	GROUP		UNIVERSITY	
	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Residences, catering and conferences	11,235	12,609	11,235	12,609
Rents and rates	2,001	1,614	2,001	1,614
Light, heat, power and water	8,961	11,777	8,961	11,777
Repairs and general maintenance	17,210	12,750	17,210	12,750
Research	29,723	27,465	29,723	27,465
Sport	1,877	1,732	1,877	1,732
Penryn campus costs	8,133	7,906	8,133	7,906
Laboratory equipment and consumables	4,588	4,740	4,588	4,740
IT hardware, software and licences	11,175	9,315	11,175	9,315
Other equipment (including loss on disposal of equipment)	5,411	7,252	5,411	7,252
Books and periodicals	6,827	6,817	6,827	6,817
Agency, seconded staff and staff support costs	6,202	7,044	6,202	7,044
Publicity, publications and student recruitment	15,540	14,052	15,540	14,052
Travel and subsistence	13,259	13,948	13,259	13,948
Scholarships, prizes and student support	29,555	28,848	29,555	28,848
Auditors remuneration	238	230	221	213
Auditors remuneration in respect of non-audit services	13	43	13	33
Other expenses	29,859	38,617	29,848	38,621
	201,807	206,759	201,779	206,736
Included within other operating expenses are:				
Internal audit costs (within other expenses) ¹¹	224	261	224	261
External audit costs (within Auditors remuneration)	238	230	221	213
Operating lease expenses	881	770	881	770

¹¹ Internal and external audit costs are shown net of the Value Added Tax.

Notes to the Financial Statements

NOTE 9 ANALYSIS OF TOTAL EXPENDITURE BY ACTIVITY

GROUP	Staff Costs £'000	Other Operating Expenses £'000	Depreciation and Impairment £'000	Interest Payable £'000	2025 Total £'000	2024 Total £'000
Academic colleges	186,441	46,662	3,254	-	236,357	226,526
Academic services	41,764	24,659	2,993	-	69,416	49,972
Administration and central services	90,434	56,545	6,310	-	153,289	155,239
Premises	10,367	36,095	25,915	5,573	77,950	74,822
Residences, catering and conferences	6,457	8,123	33,128	-	47,708	58,681
Research grants and contracts	61,097	29,723	3,149	-	93,969	88,632
Pensions adjustment	-	-	-	241	241	(173,319)
	396,560	201,807	74,749	5,814	678,930	480,553

NOTE 10 INTEREST AND OTHER FINANCE COSTS

GROUP AND UNIVERSITY	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Loan interest	5,551	5,551
Other finance costs	22	15
Net charge on pension schemes	241	4,413
	5,814	9,979

NOTE 11 INTANGIBLE ASSETS

GROUP AND UNIVERSITY	Software £'000	Assets under development £'000	Total £'000
Deemed Cost			
As at 1 August 2024	29,152	690	29,842
Additions	-	3,584	3,584
Disposals	(91)	-	(91)
Transfer from assets under construction	465	(465)	-
Impairment		(113)	(113)
As at 31 July 2025	29,526	3,696	33,222
Depreciation			
As at 1 August 2024	22,749	-	22,749
Charge for the year	2,448	-	2,448
Disposals	(91)	-	(91)
As at 31 July 2025	25,106		25,106
Net Book Value			
At 31 July 2025	4,420	3,696	8,116
At 31 July 2024	6,403	690	7,093

Notes to the Financial Statements

NOTE 12 TANGIBLE FIXED ASSETS

GROUP AND UNIVERSITY	Land and buildings		Service concession arrangement (Note 14) £'000	Equipment £'000	Assets under construction £'000	Total £'000
	Freehold £'000	Long Leasehold £'000				
Deemed Cost						
At 1 August 2024	739,752	117,648	31,654	130,048	26,089	1,045,192
Additions	-	-	32,643	9,989	29,562	72,194
Disposals	-	-	(31,654)	(3,713)	-	(35,367)
Transfers from assets under construction	18,438	2,153	-	14,307	(34,898)	-
Transfers from Investment Property	267	-	-	-	-	267
At 31 July 2025	758,457	119,801	32,643	150,631	20,754	1,082,285
Depreciation						
At 1 August 2024	202,434	31,658	-	92,440	2,094	328,626
Charge for the year	23,808	3,581	31,654	13,145	-	72,188
Disposals	-	-	(31,654)	(3,692)	-	(35,346)
At 31 July 2025	226,242	35,239	-	101,893	2,094	365,468
Net book value						
At 31 July 2025	532,214	84,562	32,643	48,738	18,660	716,817
At 31 July 2024	537,318	85,990	31,654	37,608	23,996	716,566

- a. At 31 July 2025, freehold land and buildings included £87.2m (2024: £87.2m) in respect of freehold land which is not depreciated.
- b. Included in the cost of freehold land and buildings is £1.1m (2024: £1.1m) bank loan interest paid that has been capitalised. This has been calculated at the loan interest rate of 5.88%. These finance costs are directly attributable to the construction of student residences and were capitalised as part of the cost of those assets whilst they were in the course of construction. There has been no capitalisation of interest payable in the current or prior years.
- c. Upon transition to FRS102 tangible fixed assets were valued at deemed cost following a valuation performed by the external Chartered Surveyors, Jones Lang LaSalle, as at 31 July 2014 on the basis of existing use or depreciated replacement cost according to the nature and use of each building. This valuation was prepared in accordance with the valuation standards published by the Royal Institution of Chartered Surveyors. No further revaluations of tangible fixed assets will occur, with the exception of investment properties (Note 15) and heritage assets (Note 13).
- d. Long leasehold land and buildings are comprised of the University owned buildings on the Penryn Campus, which were acquired under a 125-year lease (104 years remaining), Engineering Research Centre on the Exeter Science Park site and the Research, Innovation, Learning and Development ("the RILD") buildings on the Royal Devon and Exeter Hospital (Wonford) site in Exeter, which was completed in 2013/14. The RILD buildings are held under a finance lease arrangement which has been fully paid in advance.

A finance lease liability and the equivalent prepayment have been included on the Statement of Financial Position in relation to the RILD building on the following basis:

	Note	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Debtors: Amounts falling due within one year	17	133	133
Debtors: Amounts falling due after more than one year	17	14,992	15,125
Creditors: Amounts falling due within one year	19	(133)	(133)
Creditors: Amounts falling due after more than one year	20	(14,992)	(15,125)

Of the amounts falling due after more than one year, £133k is due within one to two years, £400k is due within two to five years, and £14,459k is due after more than five years. (2024: £133k; £400k; £14,592k respectively).

Notes to the Financial Statements

NOTE 13 HERITAGE ASSETS

Group and University	Special Collections £'000	Fine Art Collection £'000	Total £'000
Cost/Valuation			
As at 1 August 2024	3,259	6,028	9,287
Additions	-	-	-
Disposals		(9)	(9)
Revaluation	(24)	3,217	3,193
As at 31 July 2025	3,235	9,236	12,471

Library special collection

Special Collections manages unique and distinct collections of archives, manuscripts and rare books. The collections are used extensively in University teaching and research programmes across a range of disciplines and are particularly strong in twentieth-century literary papers by writers associated with the Southwest of England, Arab and Islamic Studies, religious archive, and book collections.

Fine art and furniture collection

The University has a collection ranging from paintings, prints and drawings to sculpture and silverware. The University has a collection of sculpture across Streatham Campus by distinguished artists such as Barbara Hepworth, Paul Mount and Michael Ayrton.

Both the library and fine art collection were professionally valued as at 31 July 2025 by external Fine Art Auctioneers and Valuers, Messrs. Bearnes Hampton and Littlewood, and Bonhams 1793 Limited, on an open market value basis.

Bill Douglas Cinema Museum

The Bill Douglas Cinema Museum holds a collection of books, prints, artefacts and ephemera relating to the history and pre-history of cinema. The initial collection was donated to the Exeter University Foundation in 1994 but since then other collections have also been donated, bringing total number of items to over 86,000. No value is reported in the Group's Statement of Financial Position as no reliable cost or valuation can be attributed to this unique and irreplaceable collection. These assets are managed by the curator and his staff to ensure their cataloguing, safe keeping and preservation and are insured against accidental damage or loss at the University's expense. The museum was opened to the public in 1997 and is free of charge.

NOTE 14 SERVICE CONCESSION ARRANGEMENTS

A service concession arrangement is a contract entered into by the University with a private sector entity to construct, operate and maintain infrastructure assets for a specified period of time. Such agreement requires a private sector entity to provide services on behalf of the University.

The University has three service concession arrangements with University Partnerships Programme Limited (UPP) for the development and operation of student residential accommodation services. These facilities were complete and available at the start of 2024/25 academic year.

Service concession arrangement	Contract starts	Contract length	Number of rooms available	Number of rooms nominated for 2025/25	Minimum lease payment £'000
Birks, Duryard, Lafrowda, St Germaines and Rowe residences	September 2009	42 years	2,569	2,569	20,589
Spreyton and Moberley residences	June 2018	52 years	382	382	3,041
East Park residences	January 2019	52 years	1,182	1,182	9,013

The assets and liabilities relating to these contracts are recognised on the University's Statement of Financial Position to the extent that the University is required to fulfil nomination commitments by 31 January each year for the following academic year. This requires the University to pay for the nominated rooms in the following financial year only. Therefore, assets and liabilities relating to the service concession arrangements are recognised to the extent of the present value of the guaranteed minimum payment, being the rentals for the rooms nominated in each academic year. There is no provision for occupancy guarantee in the contracts. In the normal course of business, student rental income is expected to fund the University's obligation for the minimum lease payment to UPP. At the end of the contract term the buildings will revert to the University. There are no renewal or termination options built into these arrangements.

Service Concession Arrangement assets

The asset value of the service concession in the Statement of Financial Position as at 31 July 2025 is £32.6m (2024: £31.7m).

Service Concession Arrangement liabilities

The total liabilities relating to the service concession included in the Statement of Financial Position as at 31 July 2025 were £32.6m (2024: £31.7m), representing the present value of lease obligations for the following academic year.

A new arrangement for the West Park student residences was entered into in August 2025 with no room nominations for the forthcoming financial year. This agreement will be considered in the 2025/26 financial statements.

Future Commitments

The following table analyses the University's future commitments in relation to service concession arrangements:

	Payable within 1 year £'000
Liability repayments	32,608
Service charge	35
	32,643

Notes to the Financial Statements

NOTE 15 NON-CURRENT INVESTMENTS

	Endowment Funds invested £'000	Investment Property £'000	Subsidiary companies £'000	Other investments £'000	Total 2025 £'000	Total 2024 £'000
GROUP						
At 1 August 2024	49,550	1,869	-	565	51,984	46,682
Paid in	-	-	-	-	-	4,050
Investment income	1,241	-	-	-	1,241	1,419
Fees	(172)	-	-	-	(172)	(169)
Transfer to Tangible Fixed Assets	-	(266)	-	-	(266)	-
Disposed	-	-	-	(134)	(134)	-
Revaluation (loss)/gain	(869)	17	-	-	(852)	2
	200	(249)	-	(134)	(183)	5,302
At 31 July 2025	49,750	1,620	-	431	51,801	51,984
UNIVERSITY						
At 1 August 2024	49,550	1,869	150	565	52,134	46,832
Paid in	-	-	-	-	-	4,050
Investment income	1,241	-	-	-	1,241	1,419
Fees	(172)	-	-	-	(172)	(169)
Transfer to Tangible Fixed Assets	-	(266)	-	-	(266)	-
Disposed	-	-	-	(134)	(134)	-
Revaluation (loss)/gain	(869)	17	-	-	(852)	2
	200	(249)	-	(134)	(183)	5,302
At 31 July 2025	49,750	1,620	150	431	51,951	52,134

Endowment Funds

The University holds an investment portfolio to invest part of its [endowment funds](#), which are managed in line with the [University Investment Policy](#). The investment objective of endowment funds is to achieve an absolute rate of return that is deemed achievable in the market place and sufficient to fulfil the charitable objectives of the donation, taking into account risks and any requirements to preserve capital. For more details on the endowment funds see Note 23.

Investment Property

The University holds investment property where buildings are held to earn external rental income. Where premises are occupied by subsidiary companies, these assets are not included as investment property at a consolidated level and are included within tangible fixed assets instead (Note 12).

Notes to the Financial Statements

NOTE 15 NON-CURRENT INVESTMENTS (continued)

Subsidiary companies

The investments in subsidiary undertakings, as consolidated in the Financial Statements, comprise the following:

		Group Holding	Shareholding	Principal business activity
Exeter ISC Limited	Directly owned	100%	100 Ordinary £1 and 149,900 Redeemable preference £1	Holding company of INTO University of Exeter LLP
ERBS Trustee Limited	Indirectly owned	100%	1 Ordinary £1	Dormant company

All the above companies are registered in England and Wales.

The activities of The Exeter University Foundation ("the Foundation"), a registered charity, are consolidated on the grounds that the University has a controlling influence over its activities. From 2015/16 the University is the sole corporate trustee of the Foundation. The Foundation supports the collections of The Bill Douglas Cinema Museum. It does not actively solicit donations but will accept donations from those who prefer to donate to the Foundation rather than the University. The Foundation shares a year-end of 31 July with the University.

Other investments

Other investments of the University are comprised of the following:

Name	Holding
Attomarker Ltd	765 Ordinary £0.01 shares
BuildSolar Ltd	7,146 Ordinary £0.01 shares
Concrene Ltd	2,350 Ordinary £0.01 shares
Cotton Mouton Diagnostics Ltd	550,531 Ordinary £0.01 shares
DigiLab Solutions	910,000 Ordinary £0.00001 shares
Encortec Ltd	1,850 Ordinary £0.01 shares
FSD Active Ltd	2,105 Ordinary £0.01 shares
Full Scales Dynamics Ltd	1,600 Ordinary £1 shares
Health Behaviour Group	Limited by guarantee
Industrial Tomography Systems Plc	249,564 Ordinary £0.01 shares
Isca Diagnostics Ltd	2,500 Ordinary £1 shares
KMO Fleet	10 Ordinary £1 shares
MAXLLG	200 Ordinary £0.01 shares
Minviro Ltd	54,478 Ordinary £0.00001 shares
MitoRx Therapeutics Ltd	885,700 Ordinary £0.0001 shares
Neuronostics Ltd	243,700 Ordinary £0.0001 shares
One Health Ventures Ltd	500,050 Ordinary £0.01 shares
Quanterra Systems Ltd	13,000 Ordinary £0.01 shares
Senisca Ltd	26,399 Ordinary £0.001 shares
Stream Sensing (Nominee 1)	72 Ordinary £0.01 shares
Trireme Systems Ltd	59,220 Ordinary £1 shares
TTL Holdings Ltd	1,583 Ordinary £1 shares
VM Agritech (former Myco Sciences Ltd)	125 Ordinary £1 shares

These are all minority shareholdings whereby the University does not have significant influence or control over the companies.

The University holds 312,811 Ordinary £10 shares in Exeter Science Park Ltd including a purchase of 245,275 shares in July 2024 for £2,452,750. The shares are held at nil value, reflecting the uncertainty and remoteness of a return on investment. The development of the Science Park is being funded in part from the Heart of the Southwest Local Enterprise Partnership loan facility. For further details on the loan see Note 27.

Notes to the Financial Statements

NOTE 16 INVESTMENT IN JOINT VENTURES

Falmouth Exeter Plus Ltd Group (FX+ Ltd)

FX Plus Ltd is a joint venture company with two members – the University and Falmouth University. It is a company limited by guarantee without share capital. FX Plus Ltd has been established to provide student accommodation, student support and commercial services for the Penryn, Falmouth and Truro campuses, occupied by the University and Falmouth University. FX Plus has exempt charity status owing to the educational objectives of the university partners which it supports.

Tremough Development Vehicle Limited (TDV Ltd) is a wholly owned subsidiary of FX Plus Ltd. It was established to provide the construction of the main campus for the University and Falmouth University.

Cornwall Plus Limited is a wholly owned subsidiary of FX Plus Ltd. It was established to operate non-student letting of residences, non-academic conferences, external events and corporate hospitality. It commenced trading on 1 August 2013.

FX Plus Ltd, TDV Ltd and Cornwall Plus Ltd have financial years that end on 31 July.

INTO University of Exeter LLP

INTO University of Exeter LLP is a limited liability partnership between Exeter ISC Limited, a wholly owned subsidiary of the University, and INTO Exeter Limited, a wholly owned subsidiary of INTO University Partnerships Limited. Its principal place of business is INTO Building, Stocker Road, Exeter, EX4 4PY. INTO University of Exeter LLP was formed in December 2006 and operates from the University of Exeter's Streatham campus. Its principal activity is the provision of pre-university academic and language courses, primarily to non-EU and non-UK students.

Exeter ISC Limited and INTO University of Exeter LLP have financial years that end on 31 July.

CREWW Executive Board Limited

CREWW Executive Board Limited (CREWW) is a joint venture company with two members – the University and South West Water Limited. CREWW has been established to consider the decisions of The Exeter Centre for Water, Waste and Environmental Resilience, the aim of which is to establish and deliver a joint international centre of excellence in the field of environmental resilience in the waste and water sector, and successfully run an innovative, market leading programme around the centre. CREWW is a non-trading company with £2 Ordinary shares in issue split equally between two members.

Jointly controlled entities

CREWW, FX Plus Ltd and INTO University of Exeter LLP arrangements are jointly controlled entities and are accounted for using the gross equity method, such that 50% of each company's net equity (gross assets less gross liabilities) is included in the consolidated Statement of Financial Position of the University and 50% of their net income is reported in the University's consolidated income and expenditure account.

Both INTO University of Exeter LLP and Exeter ISC Limited have entered into a gift aid arrangement to distribute surpluses arising on their activities to the University and joint venture partners accordingly.

		Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Share of operating surplus/ (deficit)	FX + INTO	1,009 (749)	789 1,268
		260	2,057
Share of total comprehensive income	FX + INTO	1,009 (749)	789 1,268
		260	2,057
Share of gross assets	FX + INTO	36,757 6,260	37,362 6,859
		43,017	44,221
Share of gross liabilities	FX + INTO	(17,205) (6,457)	(18,818) (7,282)
		(23,662)	26,100
Share of net assets/(liabilities)	FX + INTO	19,552 (197)	18,544 (423)
		19,355	18,121

Notes to the Financial Statements

NOTE 17 TRADE AND OTHER RECEIVABLES

	GROUP		UNIVERSITY	
	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Amounts falling due within one year				
Accrued research grant income	31,689	31,039	31,689	31,039
Prepayments	24,951	22,363	24,951	22,363
Other receivables	27,742	27,334	27,742	27,333
Amounts due from subsidiary companies	-	-	109	71
	84,381	80,736	84,490	80,806
Amounts falling due after one year				
Lease prepayment	16,526	16,771	16,526	16,771
Loan to Group company	-	-	1,100	-
Total	100,907	97,507	102,116	97,577

Amounts due from subsidiaries are repayable on demand with no interest charged, except for £1.1m loan to fund working capital requirements of INTO University of Exeter LLP. Interest on the loan is charged at the rate 2.5% per annum above the Bank of England's Bank Rate.

NOTE 18 CURRENT ASSET INVESTMENTS

	GROUP		UNIVERSITY	
	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Short-term deposits	5,686	41,241	5,686	41,241
Other short-term investments	-	5,417	-	5,417
	5,686	46,658	5,686	46,658

Short term deposits are held with banks and building societies operating in the UK financial market and authorised by the Financial Conduct Authority with greater than three months but less than twelve months maturity at the Statement of Financial Position date. The interest rates for these deposits are fixed for the duration of the deposit at time of placement.

At 31 July 2025, the weighted average interest rate of these fixed rate deposits was 4.52% (31 July 2024: 5.38%) per annum and the remaining weighted average period for which the interest rate is fixed on these deposits was 239 days (31 July 2024: 156 days).

Other short-term investments include interest bearing notice bank accounts, certificates of deposit, floating rate notes and corporate bonds with greater than three months maturity but less than 12 months at the Statement of Financial Position date.

Notes to the Financial Statements

NOTE 19 CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	GROUP		UNIVERSITY	
	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Other payables	11,957	14,597	11,957	14,596
Obligations under finance leases	867	867	867	867
Trade payables	34,402	29,687	34,402	29,687
Service Concession Arrangement	32,643	31,654	32,643	31,654
Social security and other taxation payable	9,869	9,319	9,869	9,319
Accruals and deferred income	44,858	36,484	44,845	36,462
Research grants received on account	63,107	56,301	63,107	56,308
	197,703	178,909	197,690	178,893

There is a revolving credit facility in place with HSBC for £75m since November 2024. Please refer to our more detailed note under the Creditors: Amounts falling due after more than one year section below.

NOTE 20 CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR

	GROUP		UNIVERSITY	
	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Bank loans	209,625	209,610	209,625	209,610
Obligations under finance lease	14,992	15,125	14,992	15,125
Deferred income	55,029	55,762	55,029	55,762
	279,646	280,497	279,646	280,497

Deferred income represents premium receipts from a few service concession arrangements that are released to the Statement of Comprehensive Income over the life of contract. There is no contractual or constructive obligation to repay these receipts.

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Analysis of bank loans Group and University		
Due in five or more years	209,625	209,610
Total secured and unsecured loans	209,625	209,610

Notes to the Financial Statements

NOTE 20 CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR (continued)

Included within the total balance above is the following:

Lender	Facility £'000	Interest Rate %	Repayment	Maturity	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Northwestern Mutual Life	35,000	2.58	Bullet	2038	34,945	34,941
Pricoa Capital Group	60,000	2.61	Bullet	2043	59,896	59,891
Pricoa Capital Group	61,110	2.68	Bullet	2048	60,941	89,826
The Board of the Pension Protection Fund	28,890	2.68	Bullet	2048	28,890	-
Macquarie Investment Management	25,000	2.68	Bullet	2048	24,953	24,952
					209,625	209,610

In January 2018 the University issued Loan Notes of £210m to three lenders at fixed interest rates. Transaction fees of £482k are being amortised over the duration of the Loan Notes and charged to Other Finance costs.

All borrowings are unsecured but include a negative pledge obligation to each lender, whereby the University has agreed not to grant security over its assets to third parties. On April 9th 2025 loan notes to the value of £28.89m were sold by Pricoa Capital Group to The Board of the Pension Protection Fund.

No drawings were made in the year from the HSBC £75m revolving credit facility (RCF), expiring in November 2031.

NOTE 21 ANALYSIS OF CHANGES IN NET DEBT

Group	At 1 August 2024 £'000	Cash flow in year £'000	Change in creditor £'000	At 31 July 2025 £'000
Cash and cash equivalents	153,794	51,258	-	205,052
Current asset investments	46,658	(40,972)	-	5,686
	200,452	10,286	-	210,738

Bank loan and borrowings

Due within 1 year	-			
Due after 1 year	(209,610)	(15)	-	(209,625)
	(209,610)	(15)	-	(209,625)
	(9,158)	10,271	-	1,113

Notes to the Financial Statements

NOTE 22 FINANCIAL INSTRUMENTS

A financial instrument is a contract that gives rise to a financial asset in one entity and a financial liability or equity instrument in another entity. Financial instruments included within the Statement of Financial Position are presented in the table below:

	GROUP		UNIVERSITY	
	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Financial instruments				
Financial assets				
<i>Financial assets at fair value through Statement of Comprehensive Income</i>				
Listed investments	49,750	49,550	49,750	49,550
Investment properties	1,620	1,869	1,620	1,869
Investment in joint venture	19,355	18,121	-	-
<i>Financial assets that are equity instruments measured at cost less impairment</i>				
Other investments	431	565	431	565
<i>Financial assets that are debt instruments measured at amortised cost</i>				
Cash and cash equivalents	205,052	153,794	204,561	153,601
Investments	5,686	46,659	5,686	46,659
Other debtors	59,430	58,386	60,639	58,456
Financial liabilities				
<i>Financial liabilities measured at amortised cost</i>				
Loans	209,625	209,610	209,625	209,610
Service concessions	32,643	31,654	32,643	31,654
Finance leases	14,992	15,125	14,992	15,125
Trade payables	34,402	29,687	34,402	29,687
Other creditors	-	-	-	-

Listed investments are the University's endowment funds invested in securities actively traded on the Stock Exchange and regularly valued at open market value and fixed income instruments such as bonds determined using quoted prices.

Investment properties are valued annually by an accredited professional valuer on the basis of the open market value for their existing use or depreciated replacement cost. The assumptions applied in determining fair value are:

- All buildings are materially sound;
- No alterations have been made that the valuers are unaware of.

Investments in joint ventures are accounted for using the gross equity method, such that 50% of each company's net equity (gross assets less gross liabilities) is included in the consolidated Statement of Financial Position of the University and 50% of their net income is reported in the University's consolidated Statement of Comprehensive Income.

Notes to the Financial Statements

NOTE 22 FINANCIAL INSTRUMENTS (continued)

Nature and Extent of Risks Arising from Financial Instruments

The University's activities expose it to a variety of financial risks. The Council, alongside its Audit and Risk Committee, oversees the management of these risks by reviewing and agreeing policies and ensuring conformity.

The main risks to the University's activities are presented below.

Credit and Counterparty Risk

Credit and counterparty risk is the risk that a counterparty will not meet their obligations under a financial instrument or customer contract, leading to a financial loss. The University is exposed to credit risk from both its primary and ancillary activities and financial activities, including deposits with banks and financial institutions.

Outstanding receivables are regularly monitored. The maximum exposure to credit risks at the reporting date is the carrying value of each class of financial asset.

The risk applicable to financial activities is minimised through the investment strategy, and more specifically by the defined lending counterparty criteria, which sets out the principles with which potential counterparties' creditworthiness is judged. Such principles take account of counterparty ratings by the three major ratings agencies: Fitch, S&P and Moody's; with the lowest long-term rating of the three being used. Limits are set on the amount that can be invested with each financial institution based on ratings, group structure and duration. Short term deposits and current account balances are typically with banks and financial institutions who are committed lenders to the institution.

The lending counterparty criteria are proposed and approved regularly, incorporating any changes in financial institutions or developments in the wider political, economic, or legal environment.

A range of indicators are used to assess counterparties' creditworthiness, not just credit ratings. Among other indicators that are taken into account are:

- Credit default swaps and spreads;
- Likelihood and strength of parental support;
- Government guarantees and support;
- Market information on corporate developments and market sentiment towards the counterparties and sovereigns.

Liquidity/Refinancing Risk

Liquidity risk arises from the University's management of working capital, the finance charges and principal repayment on its borrowings. It is the risk that the University will encounter difficulty in meeting its financial obligations as they fall due. The University's objective is to ensure it has sufficient available funds for its operations and to fund its capital expenditure. This is achieved by continuous monitoring of forecast and actual cash flows, ensuring it has appropriate levels of cash and borrowing facilities to meet liabilities as they fall due.

Within the treasury management function, a comprehensive cash flow management system is operated to ensure that cash is available as needed. Cash investments are made based on forecasting the cash requirement for operational and capital spending. Short-term money market deposits are made with suitable counterparties, and notice accounts or money market funds are used.

A rolling credit facility of £75m with HSBC, which can be drawn to mitigate the effects of any unexpected cash movements, is offering greater security.

We conduct regular covenant analysis on a forward-looking basis as part of our routine cycle of financial forecasts and budgets.

Market Risk

Market risk is the risk that the fair values of financial instruments will fluctuate because of changes in market prices, including but not limited to changes triggered by fluctuation of interest rates. The financial instruments held by the University that are affected by market risk are principally cash balances, borrowings, and endowment funds.

Private placement borrowings have fixed interest rates applicable for the entire term of borrowings and therefore its exposure to a market risk is minimal.

Endowment funds are invested with an investment manager who ensures diversification and acts within the University's investment policy. The funds are placed on a nominee account opened in the name of the University. Compliance with the investment policy and performance of the investments is monitored regularly.

The University monitors its interest rate exposure on all cash balances. The University seeks to ensure that its stated treasury management policies and objectives will not be compromised by adverse market fluctuations in the value of the principal sums it invests and will accordingly seek to protect itself from the effects of such fluctuations. The overriding principals guiding the investment and deposit of surplus cash is the safeguarding and preservation of the principal investment.

The University seeks to optimise investment returns commensurate with its objectives of security and liquidity.

Foreign Exchange Risk

Bank accounts held are denominated in Sterling, Euros and Dollars. Foreign currency invoices are raised predominantly in Euro or Dollar. By holding Euro and Dollar denominated accounts exchange rate risk exposure is mitigated. Receipts in foreign currency in excess of scheduled respective currency payments are converted in Pound Sterling - the University's functional currency.

Notes to the Financial Statements

NOTE 23 ENDOWMENT RESERVES

Group	Restricted permanent endowments £'000	Unrestricted permanent endowments £'000	Expendable endowments £'000	2025 Total £'000	2024 Total £'000
Balances at 1 August:					
Capital / Original Gift	9,718	2,209	25,754	37,681	35,862
Accumulated income / Unapplied Total return	11,998	1,141	843	13,983	12,732
	21,716	3,350	26,598	51,664	48,594
New endowments	3	17	5,533	5,553	4,130
Investment income	643	97	739	1,479	1,304
Expenditure	(352)	(12)	(3,552)	(3,916)	(4,907)
(Decrease)/increase in market value of investments	(402)	(48)	(419)	(869)	2,455
Transfer from donations	-	-	-	-	9
Transfer from unrestricted reserves	242	-	34	276	79
Total endowment comprehensive (loss)/income for the year	134	54	2,335	2,523	3,070
Balances at 31 July	21,850	3,404	28,933	54,187	51,664

Represented by

Capital / Original Gift	9,963	2,226	27,251	39,440	37,681
Accumulated income / Unapplied Total return	11,887	1,178	1,682	14,747	13,983
	21,850	3,404	28,933	54,187	51,664

University	Restricted permanent endowments £'000	Unrestricted permanent endowments £'000	Expendable endowments £'000	2025 Total £'000	2024 Total £'000
Balances at 1 August:					
Capital / Original Gift	9,718	2,209	25,761	37,688	35,862
Accumulated income / Unapplied Total return	11,998	1,141	758	13,897	12,732
	21,716	3,350	26,519	51,585	48,594
New endowments	3	17	5,533	5,553	4,130
Investment income	643	97	739	1,479	1,304
Expenditure	(352)	(12)	(3,552)	(3,916)	(4,907)
(Decrease)/increase in market value of investments	(402)	(48)	(419)	(869)	2,455
Transfer from donations	-	-	-	-	9
Total endowment comprehensive (loss)/income for the year	(108)	54	2,301	2,247	2,991
Balances at 31 July	21,608	3,404	28,820	53,832	51,585

Represented by

Capital / Original Gift	9,721	2,226	28,666	40,614	37,688
Accumulated income / Unapplied Total return	11,887	1,178	154	13,218	13,897
	21,608	3,404	28,820	53,832	51,585

Notes to the Financial Statements

NOTE 23 ENDOWMENT RESERVES (continued)

	2025 Total £'000	2024 Total £'000
Analysis by asset:		
Under management by Rathbone Greenbank	49,750	49,550
Cash managed by University	3,499	1,433
Cash managed by EU Foundation	355	98
Cash pending receipt	583	583
	54,187	51,664
Analysis by type:		
Institute for Arab and Islamic Studies	14,049	14,217
Exeter Forever Fund	3,641	3,350
Sir Steve Smith Scholars Fund	1,284	1,268
Devon Research Scholarships	1,119	1,107
Special Collections	985	975
Other permanent funds	4,176	4,149
Total Permanent Funds	25,254	25,066
Anglo American Research Programme in Mining Innovations	3,421	3,620
Accelerating Nature and Climate Recovery Fund	2,436	-
Fozzard Medical Students Bursary Fund	2,517	2,515
John Slate Legacy Fund	1,372	-
Ines Barroso Fund	1,168	1,239
Other expendable endowments	18,019	19,224
Total Expendable Funds	28,933	26,598

Permanent funds descriptions

- The Institute for Arab and Islamic Studies (IAIS) Fund provides financial support for academic chairs within the Institute.
- The Exeter Forever Fund is a permanent unrestricted endowment. All legacies donated to the University (except those with specific restrictions) are allocated to the Exeter Forever Fund.
- Sir Steve Smith Scholars Fund supports widening participation scholars across all faculties.
- The University hold funds for research scholarships for specific awards for residents of Devon and Cornwall.
- The Special Collections fund is held to fund future additions to the Heritage Asset investments.
- The remaining permanent funds comprise 78 separate funds that are used for scholarships, prizes and general educational support.

Expendable funds descriptions

- Funding from Anglo American was received to establish the research programme in mining innovation at the Camborne School of Mines. The research programme will combine the study of mining engineering with environmental and social sciences and include interdisciplinary and policy-related work.
- Accelerating Nature and Climate funds were received in support of low carbon and nature-positive action project engaging with multiple industries.
- Fozzard Medical Students Bursary Fund supports scholarship and bursary awards within University of Exeter Medical School.
- John Slate Legacy Fund supports University of Exeter Medical School activities.
- Ines Barroso Fund supports of epidemiology work carried out by Professor Ines Barroso.
- The remaining expendable funds are comprised of 311 separate restricted funds which were donated for a specified purpose, with no obligation to retain capital.

Sufficient resources are held in cash or in investments to enable the charitable fund to be applied in accordance with restrictions.

NOTE 24 UNRESTRICTED RESERVES

	GROUP		UNIVERSITY	
	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Income and expenditure reserve				
Balances at 1 August	561,233	379,397	555,647	374,515
Surplus/(deficit) from the income and expenditure statement	(4,435)	183,533	(4,829)	183,089
Other comprehensive (expenditure)/income	541	(1,957)	541	(1,957)
Transfers from revaluation reserve	259	260	-	-
Transfer to endowment reserve	(276)	-	-	-
Release of restricted capital funds	3,546	-	3,546	-
Total comprehensive income/(expenditure) for the year	(365)	181,836	(742)	181,132
Balances at 31 July	560,868	561,233	554,905	555,647

NOTE 25 REVALUATION RESERVE

	GROUP				
	Freehold land and buildings £'000	Heritage assets £'000	Non-current investments £'000	2025 Total £'000	2024 Total £'000
Balances at 1 August	12,415	9,096	118	21,629	21,888
Revaluation in year	-	3,234	(24)	3,210	1
Transfers from revaluation to general reserve	(259)	-	-	(259)	-
Total reserve movement for the year	(259)	3,234	(24)	2,951	(259)
Balances at 31 July	12,156	12,330	94	24,580	21,629

	UNIVERSITY				
	Freehold land and buildings £'000	Heritage assets £'000	Non-current investments £'000	2025 Total £'000	2024 Total £'000
Balances at 1 August	-	9,096	118	9,214	9,213
Revaluation in year	-	3,234	(24)	3,210	1
Balances at 31 July	-	12,330	94	12,424	9,214

Notes to the Financial Statements

NOTE 26 CAPITAL COMMITMENTS

Group and University	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Commitments contracted at 31 July	16,236	15,065
Authorised but not contracted at 31 July	78,579	102,101
Total	94,815	117,166

Capital commitments will be funded by a mixture of grants, loans, donations, and internal working capital.

NOTE 27 FINANCIAL COMMITMENTS

Operating Leases	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Expiring within one year	792	809
Expiring between two and five years	1,040	1,234
Expiring in more than five years	1,084	1,196
Total	2,916	3,239

Provisions	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Overseas tax uncertainties provision	1,209	1,209

Contingent Liabilities

In addition to the liabilities recognised in these Financial Statements, the University also has financial guarantees and commitments with third parties which are not quantified as the likelihood of them being realised is remote. The two key commitments in place as at 31 July 2025 are:

- The University acts as guarantor, jointly with Falmouth University, on the FX Plus Ltd bank loans.
- The University underwrites the rental income charged to INTO University of Exeter LLP for the use of academic and residential buildings.

NOTE 28 PENSION SCHEMES

Different categories of staff were eligible to join one of five different schemes:

- Universities' Superannuation Scheme (USS)
- University of Exeter Retirement Benefits Scheme (ERBS)
- University of Exeter Retirement Savings Scheme (ERSS)
- National Employer Savings Trust Pension Scheme (NEST)
- National Health Service Pension Scheme (NHSPS)

The two schemes, being USS and ERBS, are both defined-benefit schemes contracted out of the State Second Pension (S2P), the assets of which are held in separate trustee administered funds. The ERBS scheme closed to new entrants and to further benefits to existing members on 30 November 2016.

ERSS is a defined contribution pension arrangement which was opened to all staff on grades B-D on 30 November 2016.

NEST is a money purchase scheme contracted into the State Second Pension (S2P), which covers workers who are not already members into an appropriate pension scheme.

Costs for the schemes, included in the Statement of Comprehensive income, were:

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Pension Contributions		
USS	34,803	33,723
ERSS	3,136	3,031
ERBS scheme expenses	650	754
Other pension schemes	772	453
Pension Contributions in Staff Costs	39,361	37,961
USS provision movements	-	(177,732)
Total in Staff Costs	39,361	(139,771)
Interest Payable: USS	-	4,125
Interest Payable: ERBS	241	288
Statement of Comprehensive Income: Net Pension (Credit)/Cost	39,602	(135,358)
Actuarial (gain)/loss: ERBS	(541)	1,957
Actuarial Gain: FX+	-	-
Statement of Comprehensive Income: Total pension schemes (Credit)/Cost	39,061	(133,401)

Notes to the Financial Statements

NOTE 28 PENSION SCHEMES (continued)

(i) NHS Pension Scheme

The University of Exeter is classified as a “Directions Employer” regarding the NHSPS and as such can offer continued membership of the scheme to some members of staff where they fulfil the required criteria. The NHSPS is a multi-employer defined benefit scheme which is contracted out of the S2P. The notional assets of NHSPS are assessed by the Government Actuary and the benefits are underwritten by the Government.

The NHS Pension Scheme is a defined benefit public service pension scheme, which operates on a pay-as-you-go basis. A new reformed scheme was introduced on 1 April 2015 that calculates pension benefits based on career average earnings. Transitional arrangements permit individuals who on 1 April 2012 were within ten years of normal pension age to continue participating in the old ‘final salary’ NHS Pension Scheme arrangements (the 1995 and 2008 sections).

An HM Treasury pension scheme valuation for funding purposes was carried out as at March 2020. The Scheme Regulations have been changed to allow contribution rates to be set by the Secretary of State for Health, with the consent of HM Treasury, and consideration of the advice of the Scheme Actuary and appropriate employee and employer representatives as deemed appropriate. The employer contribution rate payable from April 2019 was set to 20.6% of the total pensionable salary, in accordance with the conclusion of the Government Actuary’s report on the scheme. A further revision to the employer contribution rates took effect on 1 April 2024, with rates increasing to 23.7%.

(ii) Universities Superannuation Scheme

The institution participates in Universities Superannuation Scheme (USS) which is the main scheme covering most academic and academic-related staff. The Scheme is a hybrid pension scheme, providing defined benefits, as well as defined contribution benefits. The assets of the scheme are held in a separate trustee-administered fund.

USS is a multi-employer scheme and is accounted for as set out in the accounting policies.

No reduction of the liability attributable to USS (2024: reduction of £179.3m) is reflected in the Consolidated Statement of Comprehensive Income and no deficit recovery contributions (2024: £5.7m paid) were paid in the year since the scheme remains in surplus.

A deficit recovery plan was put in place as part of the 2020 valuation, which required payment of 6.2% of salaries over the period 1 April 2022 until 31 March 2024, at which point the rate would increase to 6.3%. As set out in table below, no deficit recovery plan was required under the 2023 valuation because the scheme was in surplus on a technical provision basis. The institution was no longer required to make deficit recovery contributions from 1 January 2024 and accordingly released the outstanding provision to the profit and loss account.

Scheme Assets and Liabilities	2023 valuation	2020 valuation
Total scheme assets	£73.1bn	£66.5bn
Total scheme liabilities	£65.7bn	£80.6bn
FRS 102 total scheme surplus/deficit	Surplus £7.4bn	Deficit £14.1bn
FRS 102 total funding level	111%	83%

Deficit recovery contributions due within one year for the institution are £nil (2024: £nil).

The latest available complete actuarial valuation of the Retirement Income Builder is as at 31 March 2023 (the valuation date), which was carried out using the projected unit method.

Since the institution cannot identify its share of USS Retirement Income Builder (defined benefit) assets and liabilities, the following disclosures reflect those relevant for those assets and liabilities as a whole. The 2023 valuation was the seventh valuation for the scheme under the scheme-specific funding regime introduced by the Pensions Act 2004, which requires schemes to have sufficient and appropriate assets to cover their technical provisions (the statutory funding objective). At the valuation date, the value of the assets of the scheme was £73.1bn and the value of the scheme’s technical provisions was £65.7bn indicating a surplus of £7.4bn and a funding ratio of 111%.

Surpluses or deficits which arise at future valuations may impact on the University’s future contribution commitments. A deficit may require additional funding in the form of higher contribution requirements, whereas a surplus could, perhaps, be used to similarly reduce contribution requirements

Key Sources of Estimation Uncertainty

Key estimates and assumptions concerning the future are based on historical experience and various other factors and may pose a significant risk of causing a material adjustment to the carrying amount of assets and liabilities within the next financial year.

Determining the surplus/liability for future contributions requires an estimation of the present value of future cash flows which depends on the percentage of contributions which will be attributed to deficit elimination along with future salary inflation and the identification of a suitable discount rate.

Notes to the Financial Statements

NOTE 28 PENSION SCHEMES (continued)

The key financial assumptions used in the 2023 valuation are described below. More detail is set out in the Statement of Funding Principles (uss.co.uk/about-us/valuation-and-funding/statement-of-funding-principles).

Principal Actuarial Assumptions	31 March 2023 valuation - technical provisions
Price inflation – Consumer Prices Index (CPI)	3.0% p.a. (based on a long-term average expected level of CPI, broadly consistent with long-term market expectations)
RPI/CPI gap	1.0% p.a. to 2030, reducing to 0.1% p.a. from 2030
Discount rate (forward rates)	Fixed interest gilt yield curve plus: Pre-retirement: 2.5% p.a. Post retirement: 0.9% p.a.
Pension increase (subject to floor of 0%)	Benefits with no cap: CPI assumption plus 3bps Benefits subject to a “soft cap” of 5% (providing inflationary increases up to 5%, and half of any excess inflation over 5% up to a maximum of 10%): CPI assumption minus 3bps

The main demographic assumption used relates to the mortality assumptions. These assumptions are based on analysis of the scheme’s experience carried out as part of the 2024 actuarial valuation. The mortality assumptions used in these figures are as follows:

	2023 valuation
Mortality base table	101% of S2PMA “light” for males and 95% of S3PFA for females
Future improvements to mortality	CMI_2021 with a smoothing parameter of 7.5, an initial addition of 0.4% p.a., 10% w2020 and w2021 parameters, and a long-term improvement rate of 1.8% p.a. for males and 1.6% p.a. for females

The current life expectancies on retirement at age 65 are:	2025	2024
Males currently aged 65 (years)	23.8	23.7
Females currently aged 65 (years)	25.5	25.4
Males currently aged 45 (years)	25.7	25.6
Females currently aged 45 (years)	27.2	27.2

(iii) University of Exeter Retirement Benefit Scheme (ERBS)

The University operated a final salary defined benefit pension scheme that certain employees of the University could participate in, called the University of Exeter Retirement Benefit Scheme. The Scheme is closed to future accrual in November 2016. A replacement defined contribution scheme, the University of Exeter Retirement Savings Scheme (ERSS) was effective from 1 December 2016.

The funding policy of the scheme is to hold assets which are at least equal to the technical provisions calculated at each triennial valuation. The last triennial actuarial valuation of the ERBS scheme was performed as at 5 April 2024 by a professionally qualified actuary. The valuation shows that the scheme deficit was £9.9 million, representing a funding level of 91%, compared to a deficit of £25.2m and funding level of 85% at the 2021 valuation. The Trustee and the University have agreed to revise the recovery plan agreed following the previous valuation. The Trustee has agreed that the University will reduce its rate of recovery plan contributions from 1 May, in light of the improved funding position. From that date, the University will pay recovery plan contributions at the rate of c. £3.2M a year, with the amount increasing each year at the rate of 0.5% above RPI, until 30 June 2027 (with the monthly contribution due in June 2027 reduced by £87,500). If the assumptions are borne out in practice, these contributions will be sufficient to eliminate the deficit relative to the technical provisions above. In addition, it has been agreed that the additional contributions foregone (broadly equivalent to £1M p.a. plus indexation) will remain payable in the event that funding position has not improved as expected at the time of the next valuation.

The financial assumptions used to calculate scheme liabilities under FRS 102 as at 31 July 2025 are:

	2025	2024
Discount rate	5.7%	4.9%
Inflation assumption (RPI)	3.1%	3.3%
Inflation assumption (CPI)	2.7%	2.8%
Pension payment increase for ERBS members – pre 01/08/10	2.7%	2.8%
Pension payment increase for ERBS members – post 01/08/10	1.8%	1.9%

Notes to the Financial Statements

NOTE 28 PENSION SCHEMES (continued)

The most significant non-financial assumption is the assumed level of longevity. The table below shows the life expectancy assumptions used:

	2025 valuation	2024 valuation
Base mortality table	S3PMA / S3PFA 'Middle'	S3PMA / S3PFA 'Middle'
Scaling factor applied to base mortality rates	Deferred members: 115% (male) and 110% (female) Pensioner Members: 105% (male) and 100% (female)	Deferred members: 115% (male) and 110% (female) Pensioner Members: 105% (male) and 100% (female)
Mortality projection basis	CMI (Core) 2023 projection model with long term improvement rate of 1% p.a.	CMI (Core) 2023 projection model with long term improvement rate of 1% p.a.

The mortality rates are based on publicly available mortality tables for the UK.

Years from date of retirement:	2025	2024
Males currently aged 65 years	20.3	20.3
Females currently aged 65 years	23.2	23.2
Males currently aged 45 years	20.6	20.5
Females currently aged 45 years	23.7	23.6

Scheme assets and expected rate of return for ERBS

The assets in the scheme and the expected rates of return together with the reconciliation of funded status to the Statement of Financial Position were as follows:

		2025 £'000		2024 £'000
Equities	15.4%	13,513	15.2%	14,537
Government Bonds	74.8%	65,609	77.0%	73,684
Cash / Other	9.8%	8,581	7.8%	7,524
Total		87,703		95,745
Present value of scheme liabilities		(90,565)		(102,392)
Pension (liability)/asset		(2,862)		(6,647)

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Actual return on Scheme Assets		
Actuarial (loss)/gain on assets	541	(1,957)
Interest income	4,636	4,660
	5,177	2,703

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Analysis of the amount charged to the Statement of Comprehensive Income		
Scheme expenses	(650)	(754)
Interest income on assets	4,636	4,660
Interest cost on defined benefit obligations	(4,877)	(4,948)
Total charge to Surplus/(Deficit) on Statement of Comprehensive Income	(891)	(1,042)

Analysis of movements

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Movement in the scheme surplus/(deficit)		
Opening surplus/(deficit)	(6,647)	(7,108)
Contributions paid	4,135	3,460
Scheme expenses	(650)	(754)
Interest income on assets	4,636	4,660
Interest cost on defined benefit obligations	(4,877)	(4,948)
Actuarial (loss)/gain	541	(1,957)
(Deficit)/surplus on scheme at the end of the year	(2,862)	(6,647)

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Movement in the fair value of scheme assets		
Opening fair value of assets	95,745	94,671
Interest income	4,636	4,660
Actuarial (loss)/gain on assets	(10,428)	(639)
Employers' contributions	4,135	3,460
Scheme expenses	(650)	(754)
Actual benefit payments	(5,735)	(5,653)
Fair value of assets at the end of the year	87,703	95,745

ERBS assets do not include any of the University's own financial instruments, or any property occupied by the University.

Notes to the Financial Statements

NOTE 28 PENSION SCHEMES (continued)

Movement in the present value of ERBS Defined Benefit Obligations	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Opening Defined Benefit Obligations	102,392	101,779
Interest cost	4,877	4,948
Actuarial (gain)/loss	(10,969)	1,318
Actual benefit payments	(5,735)	(5,653)
Closing Defined Benefit Obligations	90,565	102,392

Note on Section 37 Ruling

In June 2023, a High Court judgment in the case of Virgin Media Limited vs NTL Pension Trustees II Limited provided a ruling that may lead to additional pension obligations for some contracted-out defined benefit pension schemes. No adjustments were made in respect of this issue in previous disclosures, as we were not aware of any aspect of the Scheme Rules that were open to challenge or whether the Scheme Trustees had investigated the issue.

On 5 June 2025, the Government announced that it will introduce legislation to facilitate retrospective actuarial confirmation for affected schemes. While the details and timings are still to be confirmed, it is hoped that this will allow many schemes to resolve this issue and supports continuing the current approach of not making any adjustments which we propose to continue with this year.

NOTE 29 PROVISIONS FOR LIABILITIES

	Provision for USS pension liability £'000	Defined Benefit Obligations on ERBS pension £'000	Total pensions provision £'000	Other provisions £'000	Total provisions 31 July 2025 £'000	Total provisions 31 July 2024 £'000
At 1 August 2024	-	6,647	6,647	1,209	7,856	187,662
Deficit repayments		(3,485)	(3,485)	-	(3,485)	(8,445)
Actuarial (gain)/loss	-	(541)	(541)	-	(541)	1,957
2023/24 movement		-	-	-	-	(177,731)
Interest on pension liability		241	241	-	241	4,413
At 31 July 2025	-	2,862	2,862	1,209	4,071	7,856

Pension provisions

The provision for the Universities Superannuation Scheme (USS) liability arose from the contractual obligation with the USS to make payments in accordance with the 2020 deficit recovery plan. The deficit recovery plan ended in December 2023, resulting in the unwinding of the provision during 2023/24. Further details are included in Note 28(ii).

The provision for the Exeter Retirement Benefit Scheme (ERBS) is based on the actuarial valuation of this defined benefit scheme. Further details are included in Note 28(iii).

Other Provisions

A provision has been included in respect of a potential liability for overseas taxation. This will either unwind or crystallise as more details are known.

Notes to the Financial Statements

NOTE 30 RELATED PARTY TRANSACTIONS

The University has taken advantage of the exemption not to disclose transactions with subsidiaries that are wholly owned. Included in the table below are transactions with related parties of the University not covered by the exemption.

Related parties include members of Council as the University's supreme governing authority, and members of UEB, a senior executive management body. All members are required to declare any interests, and the membership is detailed at the front of the accounts. Since the University is involved in a wide range of activities

and the broad composition of its governing body, it is certain that the university will enter into transactions in the normal course of business with NHS trusts, educating bodies, Research Councils, and other private and public sector organisations in which members of the council or UEB might have an interest. All transactions involving organisations in which members of the governing body may have such an interest are conducted in accordance with the University's financial regulations and established procurement procedures. A register of the interests of the members of the council and UEB is maintained and kept up to date.

Related party	Nature of relationship	Recognised Income £'000		Recognised Expenditure £'000		Balance due to/(from) the University £'000	
		2025	2024	2025	2024	2025	2024
Applegate Marketplace Ltd	One UEB member is a director	20	-	-	5	20	-
Association of Commonwealth Universities Higher Education & Sustainable Development Goals (SDG) Network	One council member is a board member.	n/a	2	n/a	8	n/a	-
British Council	One UEB member is a member of the Education Advisory Board.	61	-	7	191	-	-
City Science Corporation Limited	One council member is the chairman and a shareholder.	188	46	25	-	79	-
Cornwall and Isles of Scilly Local Enterprise	One Council member is a Board Member.	(1)	50	-	18	(1)	(1)
Dartington Hall Trust	One council member was a Trustee.	n/a	-	n/a	4	n/a	-
Exeter College	One council member was the Vice Chair of the Board of Governors, one UEB member is a member of the Governing Body.	170	235	85	3	0	-
Exeter City Community Trust	One council member is a Trustee	-	n/a	3	n/a	(1)	n/a
Exeter Science Park	One UEB member is Chair of the Board.	233	-	132	20	(13)	(4)
Exeter Northcott Theatre	The University is one of the core funders of the company.	221	181	156	233	(1)	127
Exeter Rugby Group PLC	One council member is a non-executive director.	6	7	180	134	(28)	-
Exeter Science Centre	One UEB member is Chair of the Advisory Board	-	n/a	15	n/a	0	n/a
Falmouth and Exeter Students' Union	One council member is a President.	-	n/a	411	n/a	-	n/a
Falmouth Exeter Plus Ltd	One UEB member is a Board Member.	32	31	8,886	8,649	(647)	(46)

Notes to the Financial Statements

NOTE 30 RELATED PARTY TRANSACTIONS (continued)

Related party	Nature of relationship	Recognised Income £'000		Recognised Expenditure £'000		Balance due to/(from) the University £'000	
		2025	2024	2025	2024	2025	2024
Global City Futures Limited	One council member is the Chairman and Shareholder.	-	-	5	15	(0)	-
IDP Connect UK	One UEB member is Chair of the Strategic Advisory Board.	-	-	955	962	(15)	(2)
INTO University Partnerships Limited	One UEB member is a Management Board Member.	1,391	1,625	2,208	161	1,093	52
Jisc	One council member is a Trustee and Non-Executive Director.	14	n/a	3,000	n/a	(279)	n/a
Kortext	One UEB member is the Academic Advisory Board member at Kortext.	-	-	1,112	929	(129)	-
Law Society	One council member is a member of the Learning and Development Steering Group.	33	31	2	1	0	34
McKinsey and Company	One council member is a Director Emeritus.	n/a	6	n/a	-	n/a	12
National Oceanography Centre	One UEB member is a Strategic Advisory Board member.	-	1	1,139	184	0	(45)
Pennon Group Plc	One committee member has a shareholding in the Pennon Group.	n/a	6	n/a	-	n/a	3
Plymouth City Council	One council member is Interim Strategic Director of Growth.	340	n/a	33	n/a	3	n/a
Public Digital	One council member is a director.	-	n/a	142	n/a	-	n/a
Russell Group of Universities	One UEB member is a Chair of PVC Education Group and the other is a Russell Group Board member.	-	-	96	93	0	-
South West Institute of Technology	One UEB member is a Board member.	-	-	9	9	0	-
Ted Wragg Multi Academy Trust	One Exeter UEB member is a Nominated Member of the Academy.	125	-		33	-	(5)
The Maynard School, Exeter	One UEB member is a Governor of the school.	9	6	4	4	(0)	-
The Royal Osteoporosis Society	One Senate appointed member Council is a Clinical Committee member, and Chair of the Bone Densitometry Training and Advisory Panel Committee.	0	-	0	3	0	-
Universities UK	One UEB member is a UUK nominated USS representative member of the JNC. One UEB member is a Board Member. One council member is a board member on the Horizon Europe Senior Advisory Group.	5	13	55	75	(46)	-

Notes to the Financial Statements

NOTE 30 RELATED PARTY TRANSACTIONS (continued)

Related party	Nature of relationship	Recognised Income £'000		Recognised Expenditure £'000		Balance due to/(from) the University £'000	
		2025	2024	2025	2024	2025	2024
University of Cambridge	One council member is an Advisory Board Member of Cambridge University Library. One council member is a Policy Fellow Alum of the Centre for Science and Policy, University of Cambridge.	293	293	800	479	(78)	n/a
University of Exeter Students' Guild	The annually elected Student President of the University of Exeter Student Guild is a Council Member. One standing attendee is the CEO.	196	242	2,983	6,897	(45)	7
Venice International University	One UEB member is a Board Member.	-	n/a	50	n/a	-	n/a

All outstanding balances with the related parties are unsecured and are due for settlement in the form of cash. There was no expense recognised during the year in respect of bad or doubtful debt and no provisions were made for uncollectable receivables.

Notes to the Financial Statements

NOTE 30 RELATED PARTY TRANSACTIONS (continued)

FX + Ltd

For further information on FX Plus Ltd see Note 16 on Joint Ventures.

The University and Falmouth University have jointly and equally guaranteed four loan facilities to FX Plus Ltd:

- A loan from Lloyds TSB Bank plc of £18.6m for 30 years at a fixed rate of 5.89% which was drawn down in September 2004.
- A loan from Lloyds TSB Bank plc for £12.1m for a term of 30 years at a fixed rate of 5.215% which was drawn down in December 2006.
- A loan from Barclays Bank Plc of £20.5m for new residences. The loan is repayable over 30 years, at a variable rate linked to SONIA plus 0.275% margin and was drawn down in July 2010.
- A loan of £8m for new residences, £4m from the European Investment Bank (EIB) at a fixed rate of 2.4% and £4m from Lloyds TSB Bank at a fixed rate of 2.1%. The loan is repayable over 16 years. The EIB loan was drawn down in May 2012 and the Lloyds loan was drawn down in various stages from June 2012 – Oct 2013.
- The total FX Plus Ltd debt as at 31 July 2025 is £29.9m (2024: £32.7m). The University has guaranteed 50% of this balance, totalling £15.0m (2024: £16.3m).

The FX+ Limited has capital commitments as follows:

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Commitments contracted at 31 July	76	4
Authorised but not committed at 31 July	182	211
	258	215

Transactions between the University and FX + Ltd were as follows:

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Income derived from the FX + Group	32	66
Expenditure incurred with the FX + Group	8,886	7,928

The balances owing between the University and FX + Ltd at the year-end were as follows:

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Amount owing from the FX + Group	(647)	386

INTO University of Exeter LLP / Exeter ISC Limited

For further information on INTO see Note 16 on Joint Ventures.

Transactions between the University and INTO University of Exeter LLP in the normal course of business were as follows:

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Income derived from INTO	1,391	275
Expenditure incurred with INTO	2,208	870

The balances owing between the University and INTO University of Exeter LLP at the year-end were as follows:

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Amount (from)/due to the University from INTO	1,093	(51)

Notes to the Financial Statements

NOTE 31 DEPARTMENT FOR EDUCATION AND TEACHING REGULATION AGENCY (DETRA) INITIAL TEACHER TRAINING BURSARIES

DETRA training bursaries are available solely for students; the University acts only as paying agent. The training bursaries are therefore excluded from the Income and Expenditure Account.

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Balance at 1 August	92	(44)
NCTL Grants	2,117	1,950
	2,209	1,906
Disbursed to students	(2,099)	(1,814)
Balance at 31 July	110	92

NOTE 32 REGULATORY DISCLOSURES

The Office for Students requires the University to publish additional information, set out in the OfS Regulatory Advice 9: guidance on preparing and publishing financial statements for accounting periods beginning on or after 1 August 2019. This covers data on senior staff costs and the President and Vice-Chancellor's remuneration which is included in Note 7 on Staff Costs. In addition, we are required to publish supplementary data on tuition fees and teaching grant and on access and participation expenditure, as set out below.

Grant and Fee income

Group and University	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Grant income from the OfS	20,199	20,886
Grant income from other bodies	50,406	51,925
Fee income for taught awards	327,809	325,757
Fee income for research awards	11,624	12,030
Fee income from non-qualifying courses	11,092	12,784
Total grant and fee income	421,130	423,382

This note is a consolidation of Note 1 and Note 2.

NOTE 32 REGULATORY DISCLOSURES (continued)

Expenditure on Access and Participation related activities for the year ended is included in the Statement of Comprehensive Income and presented in the table below:

	Year Ended 31 July 2025 £'000	Year Ended 31 July 2024 £'000
Access and Participation		
Access Investment	3,846	3,716
Financial Support	5,974	6,229
Disability Support (excluding expenditure included in the two categories above)	1,460	1,309
Research and Evaluation	501	464
Total	11,781	11,718

Total Access and Participation costs are calculated using a combination of direct costs captured through our accounting system and indirect costs which were calculated using an assumptions-based model.

These assumptions are based on analysis undertaken by our finance team working closely with departments across the University to capture all available data for input into the model to ensure a robust methodology.

- £4.285m of these costs (2024: £4.137m) are already included in the overall staff costs figures included in the financial statements (see note 7);
- The published access and participation plan can be found here: [Access and Participation Plan 20/21-24/25 \(exeter.ac.uk\)](https://www.exeter.ac.uk/access-and-participation-plan-2021-24-25)

Notes to the Financial Statements

NOTE 33 US DEPARTMENT OF EDUCATION FINANCIAL RESPONSIBILITY SUPPLEMENTAL SCHEDULE

In satisfaction of its obligations to facilitate students' access to US federal financial aid, the University is required, by the US Department of Education, to present the following Supplemental Schedule in a prescribed format.

The amounts presented within the schedules have been:

- prepared under the historical cost convention, subject to the revaluation of certain fixed assets;

- prepared using United Kingdom generally accepted accounting practice, in accordance with Financial Reporting Standard 102 (FRS 102) and the Statement of Recommended Practice: Accounting for Further and Higher Education (2019 edition);

- presented in pounds sterling.

The schedules set out how each amount disclosed has been extracted from the financial statements. As set out above, the accounting policies used in determining the amounts disclosed are not intended to and do not comply with the requirements of accounting principles generally accepted in the United States of America.

Primary Reserve Ratio Line item/related disclosures	£'000	Year ended 31 July 2025 £'000	£'000	Year ended 31 July 2024 £'000
Expendable Net Assets				75,091
Statement of Financial Position – Net assets without donor restrictions		560,868		561,233
Statement of Financial Position – Net assets without donor restrictions		24,580		21,629
Statement of Financial Position – Net assets with donor restrictions		54,187		51,664
Statement of Financial Position – Restricted reserves		94		121
Note 23 – net assets with donor restrictions – restricted in perpetuity	21,850		21,716	
Note 23 – net assets with donor restrictions – restricted in perpetuity	3,404		3,350	
Note 23 – annuities, term endowments and life income funds with donor restrictions	28,933		26,512	
Statement of Financial Position – Restricted reserves	94		121	
Statement of Financial Position – Non-current assets	8,116		7,093	
Statement of Financial Position – non-current assets, net property, plant, and equipment <i>pre-implementation</i>	548,395		561,525	
Statement of Financial Position – non-current assets, net property, plant, and equipment <i>post-implementation</i>	168,422		155,041	
Statement of Financial Position – provisions, post-employment and defined benefit pension plan liabilities		2,862		6,647
Note 20 – Long term debt for long term purposes <i>pre-implementation</i>		209,552		209,552
Note 20 – Allowable <i>post-implementation</i> Long term debt for long term purposes		73		58
Note 30 – Unsecured related party receivables	99		455	
Total expenses and losses		674,773		648,945
Statement of Comprehensive Income – Total expenditure		678,930		480,533
Note 23 – expenditure with donor restrictions	3,916		4,907	
Statement of Comprehensive Income – Staff costs – movement on pension provisions		-		177,732
Note 10 – Net charge on pension schemes	241		4,413	

Notes to the Financial Statements

NOTE 33 US DEPARTMENT OF EDUCATION FINANCIAL RESPONSIBILITY SUPPLEMENTAL SCHEDULE (continued)

Equity Ratio Line item/related disclosures		£'000	Year ended 31 July 2025 £'000	£'000	Year ended 31 July 2024 £'000
Modified Net Assets			631,514		627,099
Statement of Financial Position – Net assets without donor restrictions	Income and expenditure reserve		560,868		561,233
Statement of Financial Position – Net assets without donor restrictions	Revaluation reserve		24,580		21,629
Statement of Financial Position – Net assets with donor restrictions	Endowment reserve		54,187		51,664
Statement of Financial Position – Restricted reserves	Income and expenditure reserve		94		121
Statement of Financial Position – Non-current assets	Intangible assets	8,116		7,093	
Note 30 – Unsecured related party receivables	Sum of balances due to/(from) the University	99		455	
Modified Assets			1,112,934		1,094,361
Statement of Financial Position – Non-current assets	Total non-current assets		808,560		803,051
Statement of Financial Position – Non-current assets	Total current assets		312,589		298,858
Statement of Financial Position – Non-current assets	Intangible assets	8,116		7,093	
Note 30 – Unsecured related party receivables	Sum of balances due to/(from) the University	99		455	
Net Income Ratio Line item/related disclosures		£'000	Year ended 31 July 2025 £'000	£'000	Year ended 31 July 2024 £'000
Change in Net Assets Without Donor Restrictions			2,586		181,577
Statement of Comprehensive Income	Unrestricted comprehensive expenditure for the year	365			181,576
Statement of Comprehensive Income	Revaluation reserve comprehensive (income)/ expenditure for the year		2,951		1
Total Revenue and Gains			670,320		658,574
Statement of Comprehensive Income – Total Income			680,870		665,028
Note 6 – New restricted endowments and donations	Note 6 – Total	9,376		5,187	
Note 6 – New restricted endowments and donations	Note 6 – Unrestricted donations		305		37
Note 23 – Restricted investment income		1,479		1,304	

Five Years Summary Accounts

INCOME AND EXPENDITURE

	2024/25 £'000	2023/24 £'000	2022/23 £'000	2021/22 £'000	2020/21 £'000
Income					
Tuition fees and education contracts	350,525	350,571	339,498	326,635	287,491
Funding body grants	70,605	72,811	75,592	62,756	59,416
Research grants and contracts	136,855	129,155	118,689	106,765	94,618
Other income	102,065	93,818	84,203	83,725	56,287
Investment income	11,444	13,485	8,072	1,440	1,145
Donations and endowments	9,376	5,188	6,862	5,603	2,615
Total income	680,870	665,028	632,916	586,924	501,572
Expenditure					
Direct staff costs	396,560	373,992	329,797	307,118	277,971
Movement on pension provision	-	(177,732)	(26,057)	131,817	20,731
Other operating expenses	201,807	206,759	204,099	181,148	154,216
Depreciation	74,749	67,555	83,772	59,054	53,754
Interest and other finance costs	5,814	9,979	12,441	6,331	6,243
Total expenditure	678,930	480,553	604,052	685,468	512,915
Surplus/(deficit) before other gains losses and share of joint ventures	5,082	184,475	28,864	(98,544)	(11,343)
Gain/(loss) on investments	(852)	3	(3,016)	(2,570)	7,768
Share of operating (deficit)/surplus in joint ventures	260	2,057	466	1,068	(1,585)
Surplus/(deficit) for the year	1,348	186,535	26,314	(100,046)	(5,160)
Operating cash generation (EBITDA)	48,041	56,736	62,442	62,094	35,780
Operating Surplus/(Deficit) (EBIT)	8,209	22,530	29,007	30,799	(721)
Operating Surplus as a % of income	1.2%	3.6%	5%	5%	0%
Staff cost ratio ¹²	56.8%	54.9%	51.9%	52.2%	55.3%

¹² Staff costs per Note 7, excluding movement in pension provisions and severance costs, as a % of total income.

STATEMENT OF FINANCIAL POSITION

	2024/25 £'000	2023/24 £'000	2022/23 £'000	2021/22 £'000	2020/21 £'000
Tangible and intangible assets	724,933	723,659	718,617	737,916	749,656
Heritage assets	12,471	9,287	9,287	9,245	9,088
Investments	51,801	51,984	46,682	48,799	48,429
Investment in joint venture	19,355	18,121	17,663	15,462	5,099
Net current assets	114,886	119,949	107,389	97,107	58,631
Creditors: due after one year	(279,646)	(280,497)	(261,907)	(262,790)	(264,049)
	643,800	642,503	637,731	646,631	606,854
Pension liability and other provisions	(4,071)	(7,856)	(187,662)	(214,587)	(89,039)
Total net assets	639,729	634,647	450,069	431,152	517,815
Represented by:					
Endowment reserve	54,187	51,664	48,677	48,816	49,589
Income and expenditure reserve	560,962	561,354	379,504	361,071	446,203
Revaluation reserve	24,580	21,629	21,888	22,265	22,023
Total reserves	639,729	634,647	450,069	431,152	517,815



University
of Exeter